determines that the Company has cash available (or may draw on unfunded loan commitments to the extent permitted by the Financing Documents) after payment of the Special Distribution, Priority Distributions, required operating expenses and liabilities of the Company, Reimbursable Member Expenses and Reimbursable Project Management Expenses, the Company shall distribute such available cash, or draw on any unfunded loan commitments to the extent permitted by the Financing Documents, and distribute all or any portion of that excess cash and drawdown funds to the Members Pro Rata, subject to the provisions of the Financing Documents.

2.3. **Appendix A (Glossary of Defined Terms).** Appendix A to the LLC Agreement is hereby amended by (a) amending the definition of "Electric Interconnection Agreements" to be and read as follows:

> "**Electric Interconnection Agreements**" means (a) the Amended and Restated Interconnection and Operating Agreement, dated January 4, 2001, between the Company and Entergy Gulf States and (b) the Interconnection and Operating Agreement, made effective July 1, 2001, between Cleco Power and the Company.

and (b) adding, in proper alphabetical order, new definitions of "Cleco Power" and "Entergy Gulf States", which shall be and read as follows:

> "**Cleco Power**" means Cleco Power LLC.
>
> "**Entergy Gulf States**" means Entergy Gulf States, Inc., a Texas corporation.

3. **Effectiveness.** The LLC Agreement, as amended hereby, shall continue to be, and shall remain, in full force and effect.

4. **Headings.** The headings of the Sections of this Amendment are included for convenience only and shall not be deemed to constitute a part of this Amendment.

5. **Counterparts.** This Amendment may be executed in any number of separate counterparts, each of which when so executed and delivered shall be deemed an original, but all such counterparts shall together constitute one and the same agreement. All signatures need not be on the same counterpart.

6. **Governing Law.** This Amendment shall be governed by, and construed in accordance with, the laws of the State of Delaware, without reference to the conflict of laws rules thereof that would direct the application of the laws of another jurisdiction.

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List of Approved Key Personnel for N66604-26-R-0163

The following Key Personnel are approved for this task order. Any changes to the below list require approval in accordance with clause C-237-H002 “SUBSTITUTION OF KEY PERSONNEL”.

Name	Labor Category	Award or Modification
Insert the name in the following format: Last Name, First Name	Insert the labor category	Insert either “Award” if approved at award or the modification number that the key person was

Equity Compensation Plan Information

Plan Category	Number of securities to be issued upon exercise of outstanding options (a)	Weighted-average exercise price of outstanding options (b)	Number of securities remaining available for future issuance under equity compensation plans (excluding securities reflected in column (a)) (c)
Equity compensation plans approved by security holders	3,179,471	$19.34	2,594,535

For further information on the Company's equity compensation plans see "Note D - Stock Plans" to the Company's financial statements included in Item 8.

Item 6. Selected Financial Data

	Year Ended December 31				
	2002	2001	2000	1999	1998
	(In thousands of dollars, except per share data)				
Net sales	$994,077	$978,877	$1,058,601	$1,086,176	$1,186,6799
Income before cumulative effect of a change in accounting principle, net of tax	66,882	83,589	78,092	73,940	93,719
Cumulative effect of a change in accounting principle, net of tax	(37,607)	—	—	—	—
Net income	29,275	83,589	78,092	73,940	93,719
Basic earnings per share					
Basic earnings per share before the cumulative effect of a change in accounting principle	$ 1.58	$ 1.97	$ 1.83	$ 1.63	$ 1.92
Cumulative effect of a change in accounting principle, net of tax	(0.89)	—	—	—	—
Basic earnings per share	$ 0.69	$ 1.97	$ 1.83	$ 1.63	$ 1.92
Diluted earnings per share					
Diluted earnings per share before the cumulative effect of a change in accounting principle	$ 1.56	$ 1.96	$ 1.83	$ 1.62	$ 1.91
Cumulative effect of a change in accounting principle, net of tax	(0.88)	—	—	—	—
Diluted earnings per share	$ 0.68	$ 1.96	$ 1.83	$ 1.62	$ 1.91
Cash dividends declared	$ 0.61	$ 0.60	$ 0.57	$ 0.50	$ 0.42
Total assets	$901,269	$781,311	$ 790,279	$ 775,399	$ 782,906
Long-term debt	$174,146	$ 24,181	$ 38,550	$ 47,207	$ 46,766

2002 included a net pre-tax charge of $10,468 ($7,045 after-tax) relating to the Company’s rationalization program (see Note E) and a pre-tax charge for the cumulative effect of an accounting change of $38,307 ($37,607 after-tax) (see Note A).

2001 included a net pre-tax gain of $1,943 ($1,263 after-tax) related to a $3,087 gain ($2,007 after-tax) on the sale of property, partially offset by a charge of $1,144 ($744 after-tax) relating to severance and redundancy costs in Europe.

2000 included a net pre-tax charge of $13,399 ($8,126 after-tax) principally related to a $16,004 ($14,399 after-tax) charge for costs related to the lapsed Charter offer partially offset by a $10,183 gain ($6,273 after-tax) from insurance proceeds received in settlement of a dispute with one of the Company’s product liability insurance carriers.

1999 included a pre-tax charge of $32,015 ($19,721 after-tax) related to the sale of the motor business.

Item 7. Management’s Discussion and Analysis of Financial Condition and Results of Operations

GENERAL

The Company is the world’s largest designer and manufacturer of arc welding and cutting products, manufacturing a full line of arc welding equipment, consumable welding products and other welding and cutting products.

The Company believes that the high quality of its products, advanced engineering expertise and its strong distributor network, coupled with its large, technically trained sales force, have enabled the Company to continue to be a key participant in the global marketplace.

The Company is one of only a few worldwide broad line manufacturers of both arc welding equipment and consumable products. With highly competitive conditions in the welding industry, the Company will continue to emphasize its status as a single source supplier, which it believes is most capable of meeting the broadest range of its customers’ welding needs.

On April 26, 2000, the Company made a cash offer in the United Kingdom to purchase all of the outstanding shares of Charter plc, a British industrial holding company. In October 2000, the Company’s offer to purchase Charter plc lapsed. As a result, the acquisition was not completed and the Company recorded an additional after-tax charge of $11.6 million ($0.27 per diluted share) during the fourth quarter of 2000 representing remaining costs associated with the lapsed bid. For the 2000 year, the Company recorded total non-recurring charges of $13.4 million ($8.1 million after-tax) in Other income (expense). Of this amount, the quarter ended June 30, 2000, included a net gain of $10.2 million ($6.3 million after-tax) principally related to proceeds received in settlement of a dispute with one of the Company’s product liability insurance carriers. In addition, the quarter ended September 30, 2000, included a net charge of $4.4 million ($2.8 million after-tax) principally related to costs of foreign currency options purchased in connection with the lapsed Charter plc bid. During the period in which the Charter acquisition was pending, the Company had suspended dividend payments and its share repurchase program; both were re-instituted in December 2000, subsequent to the lapse of the offer.

In 2002, consolidated net sales increased 1.6% from 2001 to $994.1 million. Net income decreased to $29.3 million or $0.68 per share (diluted). Excluding rationalization charges and an accounting change, net income for 2002 would have been $73.9 million and diluted earnings per share would have been $1.73. Net income in 2001 was $83.6 million. Excluding an after-tax gain of $1.2 million that was comprised of a gain on the sale of property partially offset by severance and redundancy charges in Europe, net income in 2001 would have been $82.3 million or $1.93 per share (diluted). Net income was $78.1 million in 2000, or $1.83 per diluted share. Excluding charges for costs associated with the lapsed offer to acquire Charter plc and net proceeds received from a product liability insurance carrier, 2000 net income would have been $86.2 million, or $2.02 per share (diluted). Earnings per share was positively impacted by the repurchase of 501,330 shares in 2002, 114,079 shares in 2001 and 2,178,130 shares in 2000.

Research and development expenditures were $19.1 million in 2002, compared with $17.9 million in 2001 and $16.6 million in 2000. Expenditures were primarily related to the development of new products. The Company believes that over the past three years, expenditures for research and development activities have been adequate to maintain the Company's leadership position and to introduce new products at an appropriate rate to sustain future growth.

RESULTS OF OPERATIONS

The following table shows the Company's results of operations:

	Year ended December 31					
(Dollars in millions)	2002		2001		2000	
	Amount	% of Sales	Amount	% of Sales	Amount	% of Sales
Net sales	$994.1	100.0%	$978.9	100.0%	$1,058.6	100.0%
Cost of goods sold	694.1	69.8%	671.6	68.6%	703.5	66.5%
Gross profit	300.0	30.2%	307.3	31.4%	355.1	33.5%
Selling, general & administrative expenses	198.0	19.9%	190.2	19.4%	216.2	20.4%
Rationalization charges	10.5	1.1%	—	—	—	—
Operating income	91.5	9.2%	117.1	12.0%	138.9	13.1%
Interest income	3.2	0.3%	1.1	0.1%	0.7	0.1%
Other income (expense)	2.3	0.2%	3.3	0.3%	(10.5)	(1.0%)
Interest expense	(9.1)	(0.9%)	(5.5)	(0.5%)	(7.4)	(0.7%)
Income before income taxes	87.9	8.8%	116.0	11.9%	121.7	11.5%
Income taxes	21.0	2.1%	32.4	3.3%	43.6	4.1%
Income before cumulative effect of a change in accounting principle, net of tax	66.9	6.7%	83.6	8.6%	78.1	7.4%
Cumulative effect of a change in accounting principle, net of tax	(37.6)	(3.8%)	—	—	—	—
Net income	$ 29.3	2.9%	$ 83.6	8.6%	$ 78.1	7.4%

2002 COMPARED TO 2001

Net Sales. Net sales for 2002 were $994.1 million, a $15.2 million or 1.6% increase from $978.9 million last year. Third-party net sales from U.S. operations were $612.4 million, down 4.3% from $639.9 million last year. U.S. domestic sales declined 5.5% from 2001. The U.S. sales decrease reflects lower demand due to continued softening in the industrial segment of the U.S. market. Export sales from the U.S. of $63.2 million were up $4.8 million or 8.1% from last year. Exports have increased into Europe, Asia Pacific and Russia, Africa and the Middle East regions. Non-U.S. third-party sales increased 12.6% to $381.7 million in 2002, compared with $339.0 million last year. The weakening of the U.S. dollar had a positive impact on non-U.S. sales compared with last year. This positive impact on net sales was $2.8 million or 0.3%. In local currencies, European sales increased 6.4%. Excluding the results of Bester, which was acquired in January 2002, European sales increased 2.5% in local currencies. In the rest of the world, the Company's sales increased 17.9% in local currencies. Excluding the results of Lincoln Soldaduras de Venezuela, which was acquired in December 2001, rest of the world sales increased 11.9% in local currencies. Non-U.S. and export sales were 44.8% of the Company's total sales compared with 40.6% in 2001.

Gross Profit. Gross profit of $300.0 million for 2002 declined 2.4% or $7.3 million from last year. Gross profit as a percentage of net sales declined to 30.2% from 31.4% compared with last year. Gross profit margins in the U.S. declined because of lower sales volumes and the related unfavorable production variances. Non-U.S. gross margins were up slightly year-over-year due to product mix.

Selling, General & Administrative (SG&A) Expenses . SG&A expenses increased $7.8 million or 4.1% to $198.0 million for 2002, compared with $190.2 million for 2001. SG&A expenses as a percentage of net sales increased to 19.9% from 19.4% in 2001. The increase in SG&A expenses is due primarily to the incremental costs incurred by newly acquired businesses of $4.5 million, the foreign currency translation effect of a weakening U.S. dollar of $1.7 million, an increase in accounts receivable allowances of $3.0 million and an increase in R&D expenditures of $1.2 million, which were partially offset by the non-amortization of goodwill of $1.6 million as a result of the adoption of Statement of Financial Accounting Standards ("SFAS") No. 142, " *Goodwill and Other Intangible Assets*" (See Note A).

Rationalization Charges. During the first quarter of 2002, the Company recorded rationalization charges of $10.5 million ($7.0 million after-tax). The rationalization charges were principally related to a voluntary retirement program affecting approximately 3% of the Company's U.S. workforce and asset impairment charges. Workforce reduction charges were $5.4 million, while non-cash asset impairment charges were $5.1 million. The Company anticipates this rationalization program will result in future annual cost savings of over $5 million.

Interest Income. Interest income increased to $3.2 million for 2002 from $1.1 million for 2001. The increase is primarily due to higher cash balances attributable to the proceeds received from a new $150 million borrowing (see Note F).

Other Income (Expense). Other income (expense) for 2002 decreased to $2.3 million from $3.3 million for 2001. Other income (expense) in 2001 included a pre-tax gain on the sale of property of $3.1 million ($2.0 million after-tax) in Europe.

Interest Expense. Interest expense increased to $9.1 million in 2002 from $5.5 million in 2001. In March 2002, the Company issued $150 million of Senior Unsecured Notes (the "Notes") with a weighted-average interest rate of 6.1% (see Note F). Also in March 2002, the Company entered into floating rate interest rate swap agreements with notional amounts totaling $80.0 million to effectively swap fixed interest rates for variable rates. The weighted-average effective interest rate on the Notes after considering the effect of the interest rate swaps was 4.82% for 2002.

Income Taxes. Income taxes for 2002 were $21.0 million on income before income taxes of $87.9 million, an effective rate of 23.9%, as compared with income taxes of $32.4 million on income before income taxes of $116.0 million, or an effective rate of 28.0% for 2001. The decrease was primarily attributable to the utilization of foreign tax credits.

Cumulative Effect of a Change in Accounting Principle. Prior to January 1, 2002, the Company amortized goodwill on a straight line basis over periods not exceeding 40 years. Goodwill had previously been tested for impairment under the provisions of Financial Accounting Standards Board ("FASB") SFAS No. 121, "*Accounting for the Impairment of Long-lived Assets and Long-lived Assets to be Disposed of*". The Company previously evaluated goodwill for impairment by comparing the unamortized balance of goodwill to projected undiscounted cash flows, which did not indicate an impairment. Effective January 1, 2002, the Company adopted SFAS No. 142, which requires cessation of goodwill amortization and a fair value approach to testing the impairment of goodwill and other intangibles.

The Company has applied the new rules on accounting for goodwill and other intangible assets prescribed under SFAS No. 142, beginning January 1, 2002 (see Note A). As a result of the valuations performed by an independent third-party, the Company recorded an impairment to goodwill of $37.6 million, net of tax. Application of the nonamortization provisions of the Statement will result in an increase in net income of approximately $1.6 million ($0.04 per share) per year.

Net Income. Net income for 2002 was $29.3 million compared to $83.6 million in 2001. Diluted earnings per share for 2002 was $0.68 per share compared to $1.96 per share in 2001. Excluding the rationalization charges and the accounting change, net income for 2002 would have been $73.9 million and diluted earnings per share would have been $1.73. Net income in 2001 included an after-tax gain of $1.2 million, without which net income would have been $82.3 million or $1.93 per share (diluted). Foreign currency exchange rate movements negatively affected 2002 net income by $3.0 million or 10.3%, and had no material impact on 2001 net income.

2001 COMPARED TO 2000

Net Sales. Net sales for 2001 were $978.9 million, a $79.7 million or 7.5% decline from $1,058.6 million in 2000. Third-party net sales from U.S. operations were $639.9 million, down 9.2% from $705.1 million in 2000. U.S. domestic sales declined 9.8% from 2000. The U.S. sales decrease reflects lower demand due to continued softening in the industrial segment of the U.S. market. Export sales from the U.S. of $58.5 million were down $1.7 million or 2.9% from 2000. U.S. exports to Europe and Latin America declined due to declining economic conditions in those regions. Also, in Latin America, changes in product sourcing to locations outside the U.S. affected export sales. Exports increased into Canada and the Asian and Russia, Africa and the Middle East regions. Non-U.S. third-party sales declined 4.1% to $339.0 million in 2001, compared with $353.5 million in 2000. The strong U.S. dollar continued to have a negative impact on non-U.S. sales compared with 2000. This negative impact on net sales was $15.8 million or 1.6%. In local currencies, European sales increased 0.7%. In the rest of the world, the Company's sales were the same in local currencies. Non-U.S. and export sales were 40.6% of the Company's total sales.

Gross Profit. Gross profit of $307.3 million for 2001 declined 13.5% or $47.8 million from 2000. Gross profit as a percentage of net sales declined to 31.4% from 33.5% compared with 2000. Gross profit margins in the U.S. declined because of lower sales volumes and the related unfavorable production variances. Non-U.S. gross margins were up year-over-year due to lower distribution costs, product mix and favorable production variances resulting from production efficiencies.

Selling, General & Administrative (SG&A) Expenses . SG&A expenses decreased $26.0 million or 12.0% to $190.2 million for 2001, compared with $216.2 million for 2000. SG&A expenses as a percentage of net sales declined to 19.4% from 20.4% in 2000. The reduction in SG&A expenses was primarily due to expense reduction efforts and lower employee costs including the costs related to the Company's discretionary year-end employee bonus program. Bonus costs were down $22.6 million from 2000 due to lower actual results compared to profitability objectives.

Interest Income. Interest income increased to $1.1 million for 2001 from $0.7 million for 2000. The increase was primarily due to higher cash balances compared to the previous year.

Other Income (Expense). Other income (expense) for 2001 increased to $3.3 million compared with an expense of $10.5 million for 2000. Other income (expense) in 2001 included a pre-tax gain on the sale of property of $3.1 million ($2.0 million after-tax) in Europe. Other income (expense) in 2000 included a net pre-tax charge of $13.4 million ($8.1 million after-tax) principally related to the costs associated with the lapsed Charter offer, offset by net proceeds received in settlement of a dispute with one of the Company's product liability insurance carriers.

Interest Expense. Interest expense decreased $1.9 million, or 25.7% in 2001 from $7.4 million in 2000. The decrease in interest expense was commensurate with decreased short- and long-term borrowings.

Income Taxes. Income taxes for 2001 were $32.4 million on income before income taxes of $116.0 million, an effective rate of 28.0%, as compared with income taxes of $43.6 million on income before income taxes of $121.7 million, or an effective rate of 35.8% for 2000. The decrease in the effective tax rate was primarily attributable to the utilization of certain international tax credits.

Net Income. Net income for 2001 of $83.6 million was $5.5 million higher than 2000. Diluted earnings per share for 2001 increased to $1.96 per share from $1.83 per share in 2000. Net income in 2001 included an after-tax gain of $1.2 million, without which net income would have been $82.3 million or $1.93 per share (diluted). The net income in 2000 included the charges mentioned above. Excluding the nonrecurring items in 2000, net income would have been $86.2 million or $2.02 per share (diluted). The effect of foreign currency exchange rate movements on net income was not significant.

LIQUIDITY AND CAPITAL RESOURCES

The Company's debt levels increased from $50.8 million at December 31, 2001, to $187.5 million at December 31, 2002. Total percent of debt to total capitalization increased to 30.5% at December 31, 2002, from 9.2% at December 31, 2001. The increase in 2002 is attributable to the $150 million of Senior Unsecured Notes discussed below. Management anticipates that the Company will be able to satisfy cash requirements for its ongoing businesses for the foreseeable future primarily with existing cash balances, cash generated by operations and, if necessary, borrowings under its existing credit facilities.

Cash provided from operations was $103.6 million in 2002, a decrease of $16.6 million from $120.2 million in 2001. The decrease was primarily related to lower net income.

Capital expenditures during 2002 were $27.9 million, a 24.0% decrease from 2001. The Company anticipates capital expenditures should approximate depreciation in 2003. If acquisitions and major projects providing near term financial benefits become available, additional expenditures may be made.

During January 2002, the Company acquired 85% of Bester S.A., a leading manufacturer of welding equipment located in Poland, for $7.8 million, including assumed debt. During 2002, the Company also acquired an additional 6% of Bester through additional investments totaling $3.5 million, of which $1.5 million has been paid as of December 31, 2002.

During December 2001, the Company acquired 100% of Messer Soldaduras de Venezuela S.A., a leading manufacturer of consumable welding products located in Venezuela, for $3.4 million, including assumed debt.

During the first quarter of 2000, the Company acquired a 35% interest in Kuang Tai, a Taiwan-based manufacturer of welding wire for $16.8 million and 100% of C.I.F.E. S.r.l., an Italian-based manufacturer of MIG wire for $19.5 million, including assumed debt.

During March 2002, the Company issued Notes totaling $150 million through a private placement. Maturities and interest rates on the Notes are $40 million at 5.58% in 2007, $30 million at 5.89% in 2009 and $80 million at 6.36% in 2012. Interest is payable semi-annually in March and September. The proceeds will be used for general corporate purposes. The Notes contain certain affirmative and negative covenants, including restrictions on asset dispositions and financial covenants (interest coverage and funded Debt-to-EBITDA ratios). The Notes will not be and have not been registered under the Securities Act of 1933, as amended, and may not be offered or sold in the United States absent registration or an applicable exemption from registration requirements.

During March 2002, the Company entered into floating rate interest rate swap agreements with notional amounts totaling $80 million, to convert a portion of the outstanding Notes from fixed to floating rates based on the six-month LIBOR, plus a spread of between 15.5 and 37.5 basis points. The variable rates are reset every six months, at which time payment or receipt of interest is settled. These swaps were designated as fair value hedges, and as such, the gain or loss on the derivative instrument as well as the offsetting gain or loss on the hedged item attributable to the hedged risk are recognized in earnings. Net payments or receipts under these agreements are recognized as adjustments to interest expense. The fair value of these swaps at December 31, 2002 was $9.9 million. The weighted average effective interest rate on the Notes after considering the effect of the interest rate swaps was 4.82% for 2002. Net interest expense related to the $150 million private placement is further reduced by the interest income earned on the cash balances. These short-term, highly liquid investments earned 2.23%, or approximately $2.5 million during 2002. Total net interest expense related to the $150 million private placement after considering the fixed-to-floating interest rate swaps and the interest income generated from investing the funds was approximately $2.9 million, or $0.04 per diluted share.

During April 2002, the Company replaced its prior committed revolving credit facility with a new three-year revolving Credit Agreement that provides up to $125 million in borrowings and expires in April 2005. This Credit Agreement may be used for general corporate purposes. The interest rate on borrowings under the Credit Agreement is based on either the LIBOR plus a spread based on the Company’s leverage ratio or the prime rate, at the Company’s election. A facility fee is payable based upon the daily aggregate amount of commitments. The facility fee is based on the Company’s leverage ratio. The Credit Agreement provides for the issuance of Letters of Credit, subject to limits based on amounts outstanding under the Credit Agreement and is subject to the same covenants as the Notes. As of December 31, 2002, there are no borrowings under the credit agreement.

During April 2002, the Company amended and restated its existing 8.73% Senior Notes due in 2003. The 8.73% Senior Notes were amended and restated so that the affirmative and negative covenants are consistent with the Notes. In addition, the amendment and restatement of the 8.73% Senior Notes added an uncommitted private shelf facility allowing for the issuance of an aggregate of $100 million of additional senior unsecured notes (the “Shelf Notes”). There were no borrowings under the Shelf Notes as of December 31, 2002.

The Company’s contractual obligations and commercial commitments (as defined by Section 13(j) of the Securities Exchange Act of 1934) as of December 31, 2002 are as follows (in thousands):

		Payments Due by Period			
	Total	**2003**	**2004 to 2005**	**2006 to 2007**	**2008 and Beyond**
Long-term debt	$181,590	$12,097	$ 4,028	$46,913	$118,552
Capital lease obligations	5,989	1,336	1,611	1,031	2,011
Short-term debt	945	945	—	—	—
Operating leases	20,031	8,068	8,404	3,433	126
Total contractual cash obligations	$208,555	$22,446	$14,043	$51,377	$120,689

Additionally, the Company has provided a guarantee on a loan for a joint venture. The Company’s estimated maximum exposure under this arrangement at December 31, 2002 was approximately $2 million.

During 2002, the Company purchased 501,330 shares of its common stock on the open market at a cost of $11.6 million, bringing the total shares purchased to 7,740,789 at a cost of $157.1 million through December 31, 2002. The Company is authorized to purchase up to an additional 2,259,211 shares under the share repurchase program. See Note B to the Consolidated Financial Statements.

A total of $25.4 million in dividends was paid during 2002. In January 2003, the Company paid the quarterly cash dividend of 16 cents per share to shareholders of record on December 31, 2002.

Effective January 1, 2003, the Company will adopt the fair value method of recording stock options contained in SFAS No. 123, “*Accounting for Stock-Based Compensation*,” which is considered the preferable accounting method for stock-based employee compensation. All future employee stock option grants beginning January 1, 2003 will be expensed over the stock option vesting period based on the fair value at the date the options are granted. The Company expects minimal financial impact in 2003 from the adoption of this accounting methodology. If the number of options granted in 2003 is comparable to 2002, the expected impact would be approximately $0.01 per share for 2003. The Company estimates the impact per share would increase annually over the next several years and level off at approximately $0.06 per share by 2006. This estimate assumes that the number and the fair value of options granted is similar for all years. The actual impact per share would be different in the event the number of options granted or the fair value of options increases or decreases from the current estimate. Historically, the Company has applied the intrinsic value method permitted under SFAS No. 123, as defined in Accounting Principles Board (“APB”) Opinion No. 25, “*Accounting for Stock Issued to Employees*” and related interpretations, in accounting for the Company’s stock option plans. Accordingly, no compensation cost has been recognized in the current or past years.

The Company accounts for its defined benefit plans in accordance with SFAS No. 87 “*Employers’ Accounting for Pensions*”. SFAS No. 87 requires a liability (“minimum pension liability”) be recorded when the accumulated benefit obligation exceeds the fair value of plan assets. The Company has recently experienced a material decline in the fair market value of assets in the U.S. company’s non-contributory defined benefit pension plan trust. This decline is due, in large part, to the generally weak economy and general declines in the market value of investments. At December 31, 2002, the Company recorded an after-tax charge to shareholders’ equity of approximately $80 million. In addition, the Company’s annual pension expense for 2003 is expected to increase significantly. Based on December 31, 2002 pension investment values and expected actuarial assumptions used at December 31, 2002, the Company estimates pension expense will increase by $15 million in 2003.

OFF-BALANCE SHEET FINANCIAL INSTRUMENTS

The Company utilizes letters of credit to back certain payment and performance obligations. Letters of credit are subject to limits based on amounts outstanding under the Company’s Credit Agreement (see Note F). Outstanding letters of credit at December 31, 2002 were immaterial. The Company has also provided a guarantee on a loan for a joint venture. The Company believes the likelihood is remote that material payment will be required under this arrangement. The Company’s estimated maximum exposure under this arrangement at December 31, 2002 was approximately $2 million.

NEW ACCOUNTING PRONOUNCEMENTS

Effective January 1, 2002, the Company adopted SFAS No. 144, “*Accounting for the Impairment or Disposal of Long-Lived Assets*”. SFAS No. 144 supercedes SFAS No. 121, “*Accounting for the Impairment of Long-Lived Assets and for Long-Lived Assets to be Disposed Of*” and APB Opinion No. 30, “*Reporting* *the Results of Operations — Reporting the Effects of Disposal of a Segment of a Business, and Extraordinary, Unusual and Infrequently Occurring Events*". SFAS No. 144 retains the requirements of SFAS No. 121 whereby an impairment loss is recognized if the carrying value of the asset is not recoverable from its undiscounted cash flows or fair values are less than carrying values. SFAS No. 144 broadens the scope of APB Opinion No. 30 provisions for the presentation of discontinued operations to include a component of an entity. The Statement requires a component of an entity sold or considered held for sale be presented as a discontinued operation. In addition, expected future operating losses from discontinued operations must be reflected in the periods incurred, rather than at the measurement date as previously required by APB Opinion No. 30. The adoption of this Statement did not have a material impact on the financial statements of the Company.

In April 2002, the FASB issued SFAS No. 145, "*Rescission of FASB Statements No. 4, 44 and 64, Amendment of FASB Statement No. 13, and Technical Corrections*". SFAS No. 145 is effective for fiscal years beginning after May 15, 2002. SFAS No. 145 requires that debt extinguishment must meet the criteria under APB Opinion No. 30 to be classified as an extraordinary item. This statement also amends SFAS No. 13 to require sale-leaseback accounting for certain lease modifications that have economic effects similar to sale-leaseback transactions. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

In June 2002, the FASB issued SFAS No. 146, *"Accounting for Exit or Disposal Activities*". SFAS No. 146 is effective for disposal activities initiated after December 31, 2002. SFAS No. 146 requires liabilities for one-time termination benefits incurred over future service periods be measured at fair value as of the termination date and recognized over the future service period. This Statement also requires liabilities associated with disposal activities be recorded when incurred instead of when probable as currently required by SFAS No. 5 "*Accounting for Contingencies".* These liabilities should be adjusted for subsequent changes resulting from revisions to either the timing or amount of estimated cash flows, discounted at the original credit-adjusted risk-free rate. Interest on the liability would be accreted and charged to expense as an operating item. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

In November 2002, the FASB issued Interpretation No. 45, " *Guarantor's Accounting and Disclosure Requirements for Guarantees, Including Indirect Guarantees of Indebtedness of Others*". Interpretation No. 45 requires certain disclosures to be made by a guarantor in its financial statements about its obligations under certain guarantees, including product warranties. The disclosure provisions of this Statement are effective for the Company as of the fourth quarter of 2002. The Company has made the required disclosures in the financial statements. This Statement also requires a guarantor to recognize, at inception, for all guarantees issued or modified after December 31, 2002, a liability for the fair value of the obligations it has undertaken in issuing a guarantee. The adoption of the fair value provisions of this Statement are not expected to have a material impact on the financial statements of the Company.

In December 2002, the FASB issued SFAS No. 148, "*Accounting for Stock-Based Compensation — Transition and Disclosure*". SFAS No. 148 does not alter the provisions of SFAS No. 123, nor does it require stock-based compensation to be measured under the fair-value method. Rather, SFAS No. 148 does provide three alternative transition methods to companies that elect to expense stock-based compensation using the fair-value approach under SFAS No. 123. As mentioned previously, the Company will adopt the fair-value method of recording stock options contained in SFAS No. 123 effective January 1, 2003, thus the provisions of this Statement will also be adopted by the Company at that date. The Company will elect to expense stock options using the prospective method prescribed in SFAS No. 148. The prospective method requires expense to be recognized for new grants or modifications issued beginning in the year of adoption. No expense is recognized in any year for options issued prior to adoption. The Company expects the impact from the adoption of this Statement to be approximately $0.01 per share for 2003. The Company estimates the impact per share would increase annually over the next several years and level off at approximately $0.06 per share by 2006.

In December 2002, the Emerging Issues Task Force ("EITF") issued EITF Issue 00-21, " *Accounting for Revenue Arrangements with Multiple Deliverables*". EITF 00-21 provides guidance on determining whether a revenue arrangement contains multiple deliverable items and if so, requires revenue be allocated amongst the different items based on fair value. EITF 00-21 also requires revenue on any item in a revenue arrangement with multiple deliverables not delivered completely must be deferred until delivery of the item is completed. The effective date of this Issue for the Company will be July 1, 2003. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

In January 2003, the FASB issued Interpretation No. 46, " *Consolidation of Variable Interest Entities*". Interpretation No. 46 provides guidance for identifying a controlling interest in a Variable Interest Entity (VIE) established by means other than voting interests. Interpretation No. 46 also requires consolidation of a VIE by an enterprise that holds such a controlling interest. The effective date for this Interpretation will be July 1, 2003. The Company has not yet determined the impact, if any, this Interpretation will have on the financial statements of the Company.

CRITICAL ACCOUNTING POLICIES

The Company's consolidated financial statements are based on the selection and application of significant accounting policies, which require management to make estimates and assumptions. The Company believes the following are some of the more critical judgment areas in the application of its accounting policies that affect its financial condition and results of operations.

Legal And Tax Contingencies

The Company, like other manufacturers, is subject from time to time to a variety of civil and administrative proceedings arising in the ordinary course of business. Such claims and litigation include, without limitation, product liability claims and health, safety and environmental claims, some of which relate to cases alleging asbestos and manganese induced illnesses. The costs associated with these claims are predominantly defense costs, which are recognized in the periods incurred. Insurance reimbursements mitigate these costs and, where reimbursements are probable, they are recognized in the applicable period. With respect to costs other than defense costs (i.e. for liability and/or settlement or other resolution), reserves are recorded when it is probable that the contingencies will have an unfavorable outcome. The Company accrues its best estimate of the probable cost, after a review of the facts with management and counsel and taking into account past experience. If an unfavorable outcome is determined to be reasonably possible but not probable, or if the amount of loss cannot be reasonably estimated, disclosure is provided in lieu of reserves. Many of the current cases are in preliminary procedural stages and insufficient information exists upon which judgments can be made as to the validity or ultimate disposition of such actions. Therefore, a range of possible losses cannot be made at this time. Reserves are adjusted as facts and circumstances change, and related management assessments of the underlying merits and the likelihood of outcomes change. Moreover, reserves only cover identified and/or asserted claims. Future claims could, therefore, give rise to increases to such reserves. See Note M to the Consolidated Financial Statements and the Legal Proceedings section of the Annual Report on Form 10-K for further discussion of legal contingencies.

The Company often faces challenges from domestic and foreign tax authorities regarding the amount of taxes due. These challenges include questions regarding the timing and amount of deductions and the allocation of income among various tax jurisdictions. In evaluating the exposure associated with various filing positions, the Company records reserves for probable exposures. Based on evaluation of those tax positions, the Company believes it has appropriately accrued for probable exposures. To the extent the Company were to prevail in matters for which accruals have been established or be required to pay amounts in excess of recorded reserves, the effective tax rate in a given financial statement period may be materially impacted.

Deferred Income Taxes

Deferred income taxes are recognized at currently enacted tax rates for temporary differences between the financial reporting and income tax bases of assets and liabilities and operating loss and tax credit carryforwards. The Company does not provide deferred income taxes on unremitted earnings of non-U.S. subsidiaries, as such funds are deemed permanently reinvested. As of December 31, 2002, the Company has approximately $93 million of deferred tax assets related to deductible temporary differences and tax loss and credit carryforwards which will reduce taxable income in future years.

In assessing the realizability of deferred tax assets, the Company assesses whether it is more likely than not that a portion or all of the deferred tax assets will not be realized. The Company considers the scheduled reversal of deferred tax liabilities, projected future taxable income, and tax planning strategies in making this assessment. At December 31, 2002, a valuation allowance of $15 million has been recorded against these deferred tax assets based on this assessment. The Company believes it is more likely than not that the tax benefit of the net deferred tax assets will be realized. The amount of net deferred tax asset considered realizable could be increased or reduced in the future if the Company's assessment of future taxable income or tax planning strategies changes.

Pensions

The Company accounts for its defined benefit plans in accordance with SFAS No. 87, *"Employers' Accounting for Pensions"* which requires amounts recognized in financial statements be determined on an actuarial basis. A substantial portion of the Company's pension amounts relate to its defined benefit plan in the United States.

A significant element in determining the Company's pension expense in accordance with SFAS No. 87 is the expected return on plan assets. The expected return on plan assets is determined based on the expected long-term rate of return on the plan assets and the market-related value of plan assets. The market-related value of plan assets can be determined by either fair value or a calculated value recognizing changes in fair value in a systematic and rational manner over not more than five years. The Company used fair values at December 31 for the market-related value of plan assets. The Company has assumed the expected long-term rate of return on plan assets will be 9.1%. The assumed long-term rate of return on assets is applied to the market value of plan assets. This produces the expected return on plan assets included in pension expense. The difference between this expected return and the actual return on plan assets is deferred. The amortization of the net deferral of past losses will increase future pension expense. The plan assets have earned a rate of return substantially less than 9.1% in the last two years. The Company anticipates lowering the expected rate of return on plan assets to approximately 8.8% for 2003. As a result, future pension expense will increase.

At the end of each year, the Company determines the discount rate to be used for plan liabilities. In estimating this rate, the Company looks to rates of return on high quality, fixed-income investments that receive one of the two highest ratings given by a recognized ratings agency. At December 31, 2002, the Company determined this rate to be 6.7%. Decreases in discount rates and lower expected returns on plan assets over the past two years will materially affect pension expense in 2003. The Company estimates pension expense will increase by $15 million in 2003.

Inventories

Inventories are valued at the lower of cost or market. For domestic inventories, cost is determined principally by the last-in, first-out (LIFO) method, and for non-U.S. inventories, cost is determined by the first-in, first-out (FIFO) method. The valuation of LIFO inventories is made at the end of each year based on inventory levels and costs at that time. The excess of current cost over LIFO cost amounted to $39.9 million at December 31, 2002. The Company reviews the net realizable value of inventory in detail on an on-going basis, with consideration given to deterioration, obsolescence and other factors. If actual market conditions differ from those projected by management, and the Company’s estimates prove to be inaccurate, write-downs or adjustments to cost of sales may be required.

Accounts Receivable and Allowances

The Company maintains an allowance for doubtful accounts for estimated losses from the failure of its customers to make required payments for products delivered. The Company estimates this allowance based on knowledge of the financial condition of customers, review of historical receivables and reserve trends and other pertinent information. If the financial condition of customers deteriorates or an unfavorable trend in receivable collections is experienced in the future, additional allowances may be required.

CERTAIN FACTORS THAT MAY AFFECT FUTURE RESULTS

From time to time, information provided by the Company, statements by its employees or information included in its filings with the Securities and Exchange Commission (including those portions of this Management’s Discussion and Analysis that refer to the future) may contain forward-looking statements that are not historical facts. Those statements are “forward-looking” within the meaning of the Private Securities Litigation Reform Act of 1995. All such forward-looking statements involve risks and uncertainties. Such forward-looking statements, and the Company’s future performance, operating results, financial position and liquidity, are subject to a variety of factors that could materially affect future results, including:

- *Competition*. The Company operates in a highly competitive global environment and is subject to a variety of competitive factors such as pricing, the actions and strength of its competitors, and the Company’s ability to maintain its position as a recognized leader in welding technology. The intensity of foreign competition is substantially affected by fluctuations in the value of the United States dollar against other currencies. The Company’s competitive position could also be adversely affected should new or emerging entrants become more active in the arc welding business.

- *Economic and Market Conditions*. The Company is subject to general economic, business and industry conditions which can adversely affect the Company’s results of operations. The Company’s revenues and profits depend significantly on the overall demand for arc welding and cutting products. Capital spending in the manufacturing and other industrial sectors can adversely affect the Company’s results of operations. If current economic and market conditions do not improve, the Company’s results of operations could continue to be adversely affected.

- *International Markets*. The Company’s long-term strategy is to increase its share in growing international markets, particularly Asia, Latin America, Central Europe and other developing markets. However, there can be no certainty that the Company will be successful in its expansion efforts. The Company is subject to the currency risks of doing business abroad, and the possible effects of international terrorism and hostilities. Moreover, international expansion poses challenging demands within the Company’s infrastructure.

- *Cyclicality and Maturity of the Welding and Cutting Industry* . The United States arc welding and cutting industry is both mature and cyclical. The growth of the domestic arc welding and cutting industry has been and continues to be constrained by numerous factors, including increased cost of steel due to regulatory tariffs and the substitution of plastics and other materials in place of fabricated metal parts in many products and structures. Increased offshore production of fabricated steel structures has also decreased the domestic demand for arc welding and cutting products in the Company's largest market.

- *Litigation*. The Company, like other manufacturers, is subject in the U.S. market to a variety of product liability lawsuits and potential lawsuits that arise in the ordinary course of business. While past experience has generally shown these cases to be immaterial, product liability cases in the U.S. continue to increase generally, with unpredictable results.

- *Operating Factors*. The Company is highly dependent on its skilled workforce and efficient production facilities, which could be adversely affected by its labor relations, business interruptions and short-term or long-term interruptions in the availability of supplies or raw materials or in transportation of finished goods.

- *Research and Development*. The Company's continued success depends, in part, on its ability to continue to meet customer welding needs through the introduction of new products and the enhancement of existing product design and performance characteristics. There can be no assurances that new products or product improvements, once developed, will meet with customer acceptance and contribute positively to the operating results of the Company, or that product development will continue at a pace to sustain future growth.

The above list of factors that could materially affect the Company's future results is not all inclusive. Any forward-looking statements reflect only the beliefs of the Company or its management at the time the statement is made.

Item 7a. Qualitative and Quantitative Disclosure About Market Risk

The Company's primary financial market risks include fluctuations in currency exchange rates, commodity prices and interest rates. The Company manages these risks by using derivative financial instruments in accordance with established policies and procedures. The Company does not enter into derivatives or other financial instruments for trading or speculative purposes.

The Company enters into forward foreign exchange contracts principally to hedge the currency fluctuations in transactions denominated in foreign currencies, thereby limiting the Company's risk that would otherwise result from changes in exchange rates. During 2002, the principal transactions hedged were intercompany loans and intercompany purchases. The periods of the forward foreign exchange contracts correspond to the periods of the hedged transactions. Gains and losses on forward foreign exchange contracts and the offsetting losses and gains on hedged transactions are reflected in the income statement. At December 31, 2002, the Company had approximately $26 million notional amount of foreign exchange contracts which primarily hedged recorded balance sheet exposures or intercompany purchases. The potential loss from a hypothetical 10% adverse change in foreign currency rates on the Company's open foreign exchange contracts at December 31, 2002 would not materially affect the Company's financial statements.

From time to time, the Company uses various hedging arrangements to manage the Company's exposure to price risk from commodity purchases. The primary commodities hedged are aluminum and copper. These hedging arrangements have the effect of locking in for specified periods (at predetermined prices or ranges of prices) the prices the Company will pay for the volume to which the hedge relates. The potential loss from a hypothetical 10% adverse change in commodity prices on the Company's open commodity futures at December 31, 2002, would not materially affect the Company's financial statements.

The fair value of the Company's cash and cash equivalents at December 31, 2002, approximated carrying value due to its short-term duration. Market risk was estimated as the potential decrease in fair value resulting from a hypothetical 10% increase in interest rates for the issues contained in the investment portfolio and was not materially different from the year-end carrying value.

The Company uses floating rate swaps to convert a portion of its $150 million fixed-rate, long-term borrowings into short-term variable interest rates. The weighted average interest rate on the Notes is 6.1% and the average maturity is eight years. At December 31, 2002, the Company's interest rate swaps had a notional amount of $80 million with a fair value of $9.9 million. The Company uses the short-cut method to account for these swaps as prescribed in SFAS No. 133, "Accounting for Derivative and Hedging Activities". The weighted average effective interest rate on the Notes after considering the effect of the interest rate swaps was 4.82% for 2002. A hypothetical decrease of 1% in the floating rate would not materially affect the Company's financial statements.

At December 31, 2002, the fair value of Notes payable to banks approximated carrying value due to its short-term maturities. Market risk was estimated as the potential increase in fair value resulting from a hypothetical 10% decrease in the Company's weighted-average short-term borrowing rate at December 31, 2002, and was not materially different from the year-end carrying value.

Item 8. Financial Statements and Supplementary Data

The response to this item is submitted in a separate section of this report following the signature page and certifications.

Item 9. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure

None.

PART III

A definitive proxy statement will be filed pursuant to Regulation 14A of the Securities Exchange Act prior to April 30, 2003. Therefore, information required under this part, unless set forth below, is incorporated herein by reference from such definitive proxy statement.

Item 14. Controls and Procedures

Within the 90 days prior to the date of this Form 10-K, the Company carried out an evaluation, under the supervision and with the participation of the Company's management, including the Company's Chief Executive Officer and Chief Financial Officer, of the effectiveness of the design and operation of the Company's disclosure controls and procedures. Based on that evaluation, the Company's management, including the Chief Executive Officer and Chief Financial Officer, concluded that the Company's disclosure controls and procedures are operating effectively as designed. There have been no significant changes in the Company's internal controls or in other factors that could significantly affect internal controls subsequent to the date the Company carried out its evaluation.

PART IV

Item 15. Exhibits, Financial Statement Schedules and Reports on Form 8-K

(a)(1) Financial Statements

The following consolidated financial statements of the Company are included in a separate section of this report following the signature page and certifications:

Report of Independent Auditors
Consolidated Balance Sheets — December 31, 2002 and 2001
Consolidated Statements of Income — Years ended December 31, 2002, 2001 and 2000
Consolidated Statements of Shareholders' Equity — Years ended December 31, 2002, 2001 and 2000
Consolidated Statements of Cash Flows — Years ended December 31, 2002, 2001 and 2000
Notes to Consolidated Financial Statements — December 31, 2002

(a)(2) Financial Statement Schedules

The following consolidated financial statement schedule of the Company is included in a separate section of this report following the signature page and certifications:

Schedule II — Valuation and Qualifying Accounts

All other schedules for which provision is made in the applicable accounting regulation of the Securities and Exchange Commission are not required under the related instructions or are inapplicable, and therefore, have been omitted.

(a)(3) Exhibits

Exhibit No.	Description
3(a)	Restated Articles of Incorporation of Lincoln Electric Holdings, Inc. (filed as Annex B to Form S-4 of Lincoln Electric Holdings, Inc., Registration No. 333-50435, filed on April 17, 1998, and incorporated herein by reference and made a part hereof).
3(b)	Amended Code of Regulations of Lincoln Electric Holdings, Inc. (filed as Exhibit 3(b) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2000, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(a)	Credit Agreement dated April 24, 2002 among Lincoln Electric Holdings, Inc., The Lincoln Electric Company, Lincoln Electric International Holding Company, Harris Calorific, Inc. and Lincoln Global, Inc. and the financial institutions listed in Annex A thereof, and KeyBank National Association, as Letter of Credit Issuer and Agent. (filed as Exhibit 10(r) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).

Exhibit No.	Description
10(b)	Note Purchase Agreement dated March 12, 2002 between Lincoln Electric Holdings, Inc. and The Lincoln Electric Company and the Purchasers listed in Schedule A thereof. (filed as Exhibit 10(q) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(c)	Amended and Restated Note Purchase and Private Shelf Agreement between Lincoln Electric Holdings, Inc., The Lincoln Electric Company and The Prudential Insurance Company of America dated as of April 30, 2002. (filed as Exhibit 10(v) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended June 30 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(d)	Lincoln Electric Holdings, Inc. 1998 Stock Option Plan (filed as Annex F to the Registration Statement on Form S-4 of Lincoln Electric Holdings, Inc., Registration No. 333-50435, filed on April 17, 1998, incorporated herein by reference and made a part hereof).
10(e)	The Lincoln Electric Company 1988 Incentive Equity Plan (filed as Exhibit 28 to the Form S-8 Registration Statement of The Lincoln Electric Company, SEC File No. 33-25209 and incorporated herein by reference and made a part hereof) as adopted and amended by Lincoln Electric Holdings, Inc. pursuant to an Instrument of Adoption and Amendment dated December 29, 1998 (filed as Exhibit 10(d) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(f)	Form of Indemnification Agreement (filed as Exhibit A to The Lincoln Electric Company 1987 Proxy Statement, SEC File No. 0-1402, and incorporated herein by reference and made a part hereof).
10(g)	Amended and Restated Lincoln Electric Holdings, Inc. Supplemental Executive Retirement Plan, as amended (filed as Exhibit 10(u) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(h)	Amended and Restated Lincoln Electric Holdings, Inc. Deferred Compensation Plan dated January 1, 2002 (filed as Exhibit 10(s) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(i)	Description of Management Incentive Plan (filed as Exhibit 10(e) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1995, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(j)	Description of Long Term Performance Plan (filed as Exhibit 10(f) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1997, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).

Exhibit No.	Description
10(k)	Description of Non-Employee Directors’ Restricted Stock Plan (filed as Exhibit 10(f) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1995, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof) as adopted by Lincoln Electric Holdings, Inc. pursuant to an Instrument of Adoption dated December 29, 1998 (filed as Exhibit 10(j) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(l)	The Lincoln Electric Company Non-Employee Directors’ Deferred Compensation Plan (filed as Exhibit 10(g) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1995, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof) as amended by Amendment No. 1 dated as of December 29, 1998 (filed as Exhibit 10(k) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(m)	Letter of Employment between Anthony A. Massaro and Lincoln Electric Holdings, Inc. dated March 7, 2000 (filed as Exhibit 10(k) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1999, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(n)	Summary of Employment Agreements (filed as Exhibit 10(l) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1999, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(o)	The Lincoln Electric Company Executive Benefit Plan (filed as Exhibit 10(l) to Form 10-K of The Lincoln Electric Company for the year ended December 31, 1997, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof), as amend by Amendment No. 1 dated January 1, 2002 (filed as Exhibit 10(t) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2002, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(p)	Form of Severance Agreement (as entered into by the Company and the following executive officers: Mssrs. Massaro, Stropki, Elliott, Stueber and Vogt) (filed as Exhibit 10 to Form 10-Q of Lincoln Electric Holdings, Inc. for the nine months ended September 30, 1998, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(q)	Form of Amendment 1 to Severance Agreement (as entered into by the Company and the following executive officers: Messrs. Stropki and Stueber) (filed as Exhibit 10(o) to Form 10-K of Lincoln Electric Holdings, Inc. for the year ended December 31, 1999, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
10(r)	Stock Option Plan for Non-employee Directors (filed as Exhibit 10(p) to Form 10-Q of Lincoln Electric Holdings, Inc. for the three months ended March 31, 2000, SEC File No. 0-1402 and incorporated herein by reference and made a part hereof).
21	Subsidiaries of the Registrant.

Exhibit No.	Description
23	Consent of Independent Auditors.
24	Powers of Attorney.
99(1)	Certification pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.

(b) The Company did not file any reports on Form 8-K during the fourth quarter of 2002.

(c) The exhibits which are listed under Item 15 (a) (3) are filed in a separate section of the report following the signature pages or incorporated by reference herein.

(d) The financial statement schedule which is listed under item 15 (a) (2) is filed in a separate section of the report following the signature page and certifications.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

LINCOLN ELECTRIC HOLDINGS, INC.
(Registrant)

By: /s/ H. JAY ELLIOTT
H. Jay Elliott, Senior Vice President,
Chief Financial Officer and Treasurer
(principal financial and accounting officer)
February 14, 2003

Pursuant to the requirements of the Securities Exchange Act of 1934, this report has been signed below by the following persons on behalf of the registrant and in the capacities and on the dates indicated.

/s/ ANTHONY A. MASSARO
Anthony A. Massaro, Chairman of the Board, President and Chief Executive Officer (principal executive officer)
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott, Senior Vice President, Chief Financial Officer and Treasurer (principal financial and accounting officer)
February 14, 2003

/s/ JOHN M. STROPKI
John M. Stropki, Director of the Company, Executive Vice President, President North America
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for HAROLD ADAMS
Harold Adams, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for DAVID C. LINCOLN
David C. Lincoln, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for HARRY CARLSON
Harry Carlson, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for G. RUSSELL LINCOLN
G. Russell Lincoln, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for RANKO CUCUZ
Ranko Cucuz, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for KATHRYN JO LINCOLN
Kathryn Jo Lincoln, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for DAVID H. GUNNING
David H. Gunning, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for HENRY L. MEYER III
Henry L. Meyer III, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for EDWARD E. HOOD, JR
Edward E. Hood, Jr., Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for HELLENE S. RUNTAGH
Hellene S. Runtagh, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for PAUL E. LEGO
Paul E. Lego, Director
February 14, 2003

/s/ H. JAY ELLIOTT
H. Jay Elliott as Attorney-in-fact for FRANK L. STEINGASS
Frank L. Steingass, Director
February 14, 2003

Certification Pursuant to Section 302 of the Sarbanes-Oxley Act of 2002

I, Anthony A. Massaro , Chairman, President and Chief Executive Officer of Lincoln Electric Holdings, Inc., certify that:

1. I have reviewed this annual report on Form 10-K of Lincoln Electric Holdings, Inc.;

2. Based on my knowledge, this annual report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this annual report;

3. Based on my knowledge, the financial statements, and other financial information included in this annual report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this annual report;

4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-14 and 15d-14) for the registrant and we have:

    a) designed such disclosure controls and procedures to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this annual report is being prepared;

    b) evaluated the effectiveness of the registrant's disclosure controls and procedures as of a date within 90 days prior to the filing date of this annual report (the "Evaluation Date"); and

    c) presented in this annual report our conclusions about the effectiveness of the disclosure controls and procedures based on our evaluation as of the Evaluation Date;

5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation, to the registrant's auditors and the audit committee of registrant's board of directors (or persons performing the equivalent function):

    a) all significant deficiencies in the design or operation of internal controls which could adversely affect the registrant's ability to record, process, summarize and report financial data and have identified for the registrant's auditors any material weaknesses in internal controls; and

    b) any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal controls; and

6. The registrant's other certifying officer and I have indicated in this annual report whether or not there were significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of our most recent evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Date: February 14, 2003

/s/ Anthony A. Massaro

Anthony A. Massaro
Chairman, President and Chief Executive Officer

Certification Pursuant to Section 302 of the Sarbanes-Oxley Act of 2002

I, H. Jay Elliott, Senior Vice President, Chief Financial Officer and Treasurer of Lincoln Electric Holdings, Inc., certify that:

1. I have reviewed this annual report on Form 10-K of Lincoln Electric Holdings, Inc.;

2. Based on my knowledge, this annual report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this annual report;

3. Based on my knowledge, the financial statements, and other financial information included in this annual report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this annual report;

4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-14 and 15d-14) for the registrant and we have:

   a) designed such disclosure controls and procedures to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this annual report is being prepared;

   b) evaluated the effectiveness of the registrant's disclosure controls and procedures as of a date within 90 days prior to the filing date of this annual report (the "Evaluation Date"); and

   c) presented in this annual report our conclusions about the effectiveness of the disclosure controls and procedures based on our evaluation as of the Evaluation Date;

5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation, to the registrant's auditors and the audit committee of registrant's board of directors (or persons performing the equivalent function):

   a) all significant deficiencies in the design or operation of internal controls which could adversely affect the registrant's ability to record, process, summarize and report financial data and have identified for the registrant's auditors any material weaknesses in internal controls; and

   b) any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal controls; and

6. The registrant's other certifying officer and I have indicated in this annual report whether or not there were significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of our most recent evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Date: February 14, 2003

/s/ H. Jay Elliott

H. Jay Elliott
Senior Vice President, Chief Financial Officer and Treasurer

ANNUAL REPORT ON FORM 10-K

ITEM 8, ITEM 15(a)(1) AND (2) AND ITEM 15(c) AND 15(d)

FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA

FINANCIAL STATEMENT SCHEDULES

CERTAIN EXHIBITS

YEAR ENDED DECEMBER 31, 2002

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES

REPORT OF INDEPENDENT AUDITORS

Shareholders and Board of Directors
Lincoln Electric Holdings, Inc.

We have audited the accompanying consolidated balance sheets of Lincoln Electric Holdings, Inc. and subsidiaries as of December 31, 2002 and 2001, and the related consolidated statements of income, shareholders' equity and cash flows for each of the three years in the period ended December 31, 2002. Our audits also included the financial statement schedule listed in the Index at Item 15 (a)(2). These financial statements and schedule are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements and schedule based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of Lincoln Electric Holdings, Inc. and subsidiaries at December 31, 2002 and 2001, and the consolidated results of their operations and their cash flows for each of the three years in the period ended December 31, 2002, in conformity with accounting principles generally accepted in the United States. Also, in our opinion, the related financial statement schedule, when considered in relation to the basic financial statements taken as a whole, presents fairly in all material respects, the information set forth therein.

As discussed in Note A to the consolidated financial statements, effective January 1, 2002, the Company adopted Statement of Financial Accounting Standards No. 142, "Goodwill and Other Intangible Assets".

/s/ ERNST & YOUNG LLP

Cleveland, Ohio
January 29, 2003

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS

	December 31	
	2002	2001
	(In thousands of dollars)	
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	$176,076	$ 23,493
Marketable securities	4,881	52
Accounts receivable (less allowances of $6,805 in 2002; $4,811 in 2001)	153,623	154,094
Inventories		
Raw materials and in-process	72,560	73,038
Finished goods	92,114	91,465
	164,674	164,503
Deferred income taxes	5,355	11,996
Other current assets	19,436	23,537
TOTAL CURRENT ASSETS	524,045	377,675
PROPERTY, PLANT AND EQUIPMENT		
Land	13,844	12,210
Buildings	147,631	134,981
Machinery and equipment	457,060	435,074
	618,535	582,265
Less: accumulated depreciation and amortization	346,682	311,294
	271,853	270,971
OTHER ASSETS		
Prepaid pension costs	3,345	38,784
Equity investments in affiliates	29,735	26,157
Intangibles, net	12,754	5,846
Goodwill	4,095	40,416
Deferred income taxes	17,858	—
Other	37,584	21,462
	105,371	132,665
TOTAL ASSETS	$901,269	$781,311

See notes to these consolidated financial statements

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS

	December 31	
	2002	2001
	(In thousands of dollars, except share data)	
LIABILITIES AND SHAREHOLDERS' EQUITY		
CURRENT LIABILITIES		
Notes payable to banks	$ 945	$ 13,163
Trade accounts payable	63,894	67,569
Accrued employee compensation and benefits	38,663	26,456
Accrued expenses	12,722	13,519
Taxes, including income taxes	34,699	34,216
Dividend payable	6,746	6,355
Other current liabilities	20,514	22,788
Current portion of long-term debt	13,433	13,434
TOTAL CURRENT LIABILITIES	191,616	197,500
Long-term debt, less current portion	174,146	24,181
Accrued pensions	92,066	17,849
Deferred income taxes	1,070	31,751
Other long-term liabilities	13,218	11,332
SHAREHOLDERS' EQUITY		
Preferred Shares, without par value — at stated capital amount:		
Authorized — 5,000,000 shares in 2002 and 2001; Issued and Outstanding — none	—	—
Common Shares, without par value — at stated capital amount:		
Authorized — 120,000,000 shares in 2002 and 2001; Issued — 49,282,306 shares in 2002 and 2001; Outstanding — 42,087,115 shares in 2002 and 42,369,145 shares in 2001	4,928	4,928
Additional paid-in capital	106,237	105,380
Retained earnings	597,495	594,701
Accumulated other comprehensive income (loss)	(132,350)	(66,726)
Treasury shares, at cost — 7,195,191 shares in 2002 and 6,913,161 shares in 2001	(147,157)	(139,585)
TOTAL SHAREHOLDERS' EQUITY	429,153	498,698
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 901,269	$ 781,311

See notes to these consolidated financial statements.

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME

	Year Ended December 31		
	2002	2001	2000
	(In thousands of dollars, except per share data)		
Net sales	$994,077	$978,877	$1,058,601
Cost of goods sold	694,052	671,551	703,503
Gross profit	300,025	307,326	355,098
Selling, general & administrative expenses	198,035	190,161	216,217
Rationalization charges	10,468	—	—
Operating income	91,522	117,165	138,881
Other income (expense):			
Interest income	3,239	1,122	732
Other income (expense)	2,238	3,291	(10,553)
Interest expense	(9,056)	(5,537)	(7,383)
Total other income (expense)	(3,579)	(1,124)	(17,204)
Income before income taxes and the cumulative effect of a change in accounting principle	87,943	116,041	121,677
Income taxes	21,061	32,452	43,585
Income before the cumulative effect of a change in accounting principle	66,882	83,589	78,092
Cumulative effect of a change in accounting principle, net of tax	(37,607)	—	—
Net income	$ 29,275	$ 83,589	$ 78,092
Per share amounts:			
Basic earnings per share			
Basic earnings per share before the cumulative effect of a change in accounting principle	$ 1.58	$ 1.97	$ 1.83
Cumulative effect of a change in accounting principle, net of tax	(0.89)	—	—
Basic earnings per share	$ 0.69	$ 1.97	$ 1.83
Diluted earnings per share			
Diluted earnings per share before the cumulative effect of a change in accounting principle	$ 1.56	$ 1.96	$ 1.83
Cumulative effect of a change in accounting principle, net of tax	(0.88)	—	—
Diluted earnings per share	$ 0.68	$ 1.96	$ 1.83

See notes to these consolidated financial statements.

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY

(in thousands of dollars, except per share data)	Comm Shares	Additional Paid-in Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Treasury Shares	Total
Balance January 1, 2000	$4,928	$104,891	$483,463	$ (43,524)	$ (98,243)	$451,515
Comprehensive income						
Net income			78,092			78,092
Minimum pension liability adjustment				(429)		(429)
Currency translation adjustment				(16,035)		(16,035)
Total comprehensive income						61,628
Cash dividends declared — $0.57 per share			(24,157)			(24,157)
Net shares issued under certain benefit plans		2	(127)		645	520
Purchase of shares for treasury					(42,205)	(42,205)
Balance December 31, 2000	4,928	104,893	537,271	(59,988)	(139,803)	447,301
Comprehensive income						
Net income			83,589			83,589
Minimum pension liability adjustment				(514)		(514)
Unrealized gain on derivatives designated and qualified as cash flow hedges, net of tax				226		226
Currency translation adjustment				(6,450)		(6,450)
Total comprehensive income						76,851
Cash dividends declared — $0.60 per share			(25,422)			(25,422)
Net shares issued under certain benefit plans		487	(737)		2,643	2,393
Purchase of shares for treasury					(2,425)	(2,425)
Balance December 31, 2001	4,928	105,380	594,701	(66,726)	(139,585)	498,698
Comprehensive income						
Net income			29,275			29,275
Minimum pension liability adjustment, net of tax of $48,206				(79,697)		(79,697)
Unrealized loss on derivatives designated and qualified as cash flow hedges, net of tax				(246)		(246)
Currency translation adjustment				14,319		14,319
Total comprehensive income (loss)						(36,349)
Cash dividends declared — $0.61 per share			(25,769)			(25,769)
Net shares issued under certain benefit plans		857	(712)		4,018	4,163
Purchase of shares for treasury					(11,590)	(11,590)
Balance December 31, 2002	$4,928	$106,237	$597,495	$(132,350)	$(147,157)	$429,153

See notes to these consolidated financial statements.

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Year Ended December 31		
	2002	2001	2000
	(In thousands of dollars)		
OPERATING ACTIVITIES			
Net income	$ 29,275	$ 83,589	$ 78,092
Adjustments to reconcile net income to net cash provided by operating activities:			
Cumulative effect of a change in accounting principle, net of tax	37,607	—	—
Rationalization charges	10,468	—	—
Depreciation and amortization	37,040	36,205	34,712
Deferred income taxes	9,021	16,527	(2,286)
Loss (gain) on sale of fixed assets	476	(2,574)	(520)
Changes in operating assets and liabilities net of effects from acquisitions:			
Decrease (increase) in accounts receivable	8,786	(742)	1,905
Decrease in inventories	6,636	18,653	6,005
Decrease (increase) in other current assets	5,452	2,381	(4,659)
(Decrease) increase in accounts payable	(8,126)	4,647	(4,963)
(Decrease) increase in other current liabilities	(2,032)	(25,495)	12,030
(Decrease) in prepaid pension expense	(21,400)	(12,079)	(7,223)
Gross change in other long-term assets and liabilities	(2,005)	(775)	(305)
Other, net	(7,600)	(136)	8,046
NET CASH PROVIDED BY OPERATING ACTIVITIES	103,598	120,201	120,834
INVESTING ACTIVITIES			
Capital expenditures	(27,909)	(36,723)	(34,800)
Acquisitions of businesses and equity investments	(8,010)	(3,961)	(18,903)
Proceeds from sale of fixed assets	2,052	4,420	1,627
Purchase of marketable securities	(5,015)	(10)	—
Other	391	316	6
NET CASH (USED) BY INVESTING ACTIVITIES	(38,491)	(35,958)	(52,070)
FINANCING ACTIVITIES			
Proceeds from short-term borrowings	3,688	50,542	47,046
Payments on short-term borrowings	(10,926)	(44,299)	(48,972)
Notes payable to banks — net	(7,114)	(35,280)	29,270
Proceeds from long-term borrowings	150,172	71	54,294
Payments on long-term borrowings	(13,661)	(17,410)	(80,266)
Issuance of shares from treasury	3,294	1,891	645
Purchase of shares for treasury	(11,590)	(2,427)	(42,205)
Cash dividends paid	(25,390)	(25,418)	(24,034)
Other	—	(15)	(442)
NET CASH PROVIDED (USED) BY FINANCING ACTIVITIES	88,473	(72,345)	(64,664)
Effect of exchange rate changes on cash and cash equivalents	(997)	276	(1,456)
INCREASE IN CASH AND CASH EQUIVALENTS	152,583	12,174	2,644
Cash and cash equivalents at beginning of year	23,493	11,319	8,675
CASH AND CASH EQUIVALENTS AT END OF YEAR	$176,076	$ 23,493	$ 11,319

See notes to these consolidated financial statements.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES

Principles of Consolidation: The consolidated financial statements include the accounts of Lincoln Electric Holdings, Inc., its wholly-owned and majority-owned subsidiaries and all non-majority owned entities for which it has a controlling interest (the "Company") after elimination of all significant intercompany accounts, transactions and profits. Minority ownership interest in consolidated subsidiaries, which is not material, is recorded in Other long-term liabilities.

Cash Equivalents: The Company considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Inventories: Inventories are valued at the lower of cost or market. For domestic inventories, cost is determined principally by the last-in, first-out (LIFO) method, and for non-U.S. inventories, cost is determined by the first-in, first-out (FIFO) method. At December 31, 2002 and 2001, approximately 53% and 57%, respectively, of total inventories were valued using the LIFO method. The excess of current cost over LIFO cost amounted to $39,924 at December 31, 2002 and $39,703 at December 31, 2001.

Equity Investments: Investments in businesses in which the Company does not have a controlling interest and holds between a 20% and 50% ownership interest are accounted for using the equity method of accounting. Under the equity method, the investment is carried at cost plus the Company's proportionate share of the net income or loss of the business since the date of acquisition.

Property, Plant and Equipment: Property, plant and equipment are stated at cost and include improvements which significantly extend the useful lives of existing plant and equipment. Depreciation and amortization are computed by both accelerated and straight-line methods over useful lives ranging from 3 to 20 years for machinery, tools and equipment, and up to 50 years for buildings. Net gains or losses related to asset dispositions are recognized in earnings in the period in which dispositions occur.

Goodwill and Intangibles: Prior to January 1, 2002, the Company amortized goodwill on a straight line basis over periods not exceeding 40 years. Goodwill had previously been tested for impairment under the provisions of Statement of Financial Accounting Standards (SFAS) No. 121, "*Accounting for the Impairment of Long-lived Assets and Long-lived Assets to be Disposed of* ". The Company previously evaluated goodwill for impairment by comparing the unamortized balance of goodwill to projected undiscounted cash flows, which did not indicate an impairment. Effective January 1, 2002, the Company adopted SFAS No. 142, " *Goodwill and Other Intangible Assets*". SFAS No. 142 requires cessation of goodwill amortization and a fair value approach to testing the impairment of goodwill and other intangibles. The Company has performed the required impairment tests of goodwill and indefinite-lived intangible assets as of January 1, 2002. As a result of these impairment tests, including third-party valuations based on acquisition prices of comparable businesses, a non-cash goodwill impairment charge of $37,607 or $0.88 per diluted share, net of tax benefits of $700, has been recorded as a cumulative effect of a change in accounting principle. This non-cash charge was primarily due to weak market conditions in the European region and the Company's expectations of lower financial performance at these reporting units. The Company performed its annual impairment test on October 1, 2002 and determined there was no additional impairment of the remaining goodwill.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

The following table reflects net income adjusted to exclude amortization of goodwill and the cumulative effect of a change in accounting principle, net of tax, in the periods presented:

($000's, except for earnings per share amounts)	For the Year Ended December 31, 2002	2001	2000
Net income, as reported	$29,275	$83,589	$78,092
Add: Goodwill amortization	—	1,648	1,623
Adjusted net income	29,275	85,237	79,715
Add: Cumulative effect of a change in accounting principle, net of tax	37,607	—	—
Adjusted income before the cumulative effect of a change in accounting principle	$66,882	$85,237	$79,715

The following table reflects Earnings Per Share adjusted to exclude amortization of goodwill and the cumulative effect of a change in accounting principle, net of tax, in the periods presented:

	For the Year Ended December 31, 2002	2001	2000
Basic Earnings Per Share:			
Net income, as reported	$0.69	$1.97	$1.83
Add: Goodwill amortization	—	0.04	0.04
Adjusted net income	0.69	2.01	1.87
Add: Cumulative effect of a change in accounting principle, net of tax	0.89	—	—
Adjusted income before the cumulative effect of a change in accounting principle	$1.58	$2.01	$1.87
Diluted Earnings Per Share:			
Net income, as reported	$0.68	$1.96	$1.83
Add: Goodwill amortization	—	0.04	0.04
Adjusted net income	0.68	2.00	1.87
Add: Cumulative effect of a change in accounting principle, net of tax	0.88	—	—
Adjusted income before the cumulative effect of a change in accounting principle	$1.56	$2.00	$1.87

The changes in the carrying amount of net goodwill by segment for the year ended December 31, 2002 are as follows:

	United States	Europe	Other Countries	Consolidated Total
Balance as of January 1, 2002	$ 22,688	$ 17,027	$ 701	$ 40,416
Foreign exchange effect on prior balances		(102)	7	(95)
Goodwill acquired during the period	—	1,982	99	2,081
Impairment loss from adoption of SFAS No. 142	(22,688)	(14,812)	(807)	(38,307)
Balance as of December 31, 2002	$ —	$ 4,095	$ —	$ 4,095

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

Gross intangible assets as of December 31, 2002 and 2001 were $21,992 and $12,907, respectively, which included accumulated amortization of $9,238 and $7,060, respectively. Aggregate amortization expense was $1,028, $1,066 and $960 for 2002, 2001 and 2000, respectively.

Estimated annual intangible amortization expense in each of the next five years ending December 31 will be approximately $1,000.

Long-lived Assets: During the first quarter of 2002, the Company adopted SFAS No. 144, " *Accounting for the Impairment or Disposal of Long-Lived Assets*". The Company previously evaluated long-lived assets for impairment under SFAS No. 121. SFAS No. 144 retains the requirements of SFAS No. 121 whereby the carrying value of long-lived assets is reviewed if facts and circumstances indicate a potential impairment of carrying value may have occurred utilizing relevant cash flow and profitability information. Impairment losses are recorded when the undiscounted cash flows estimated to be generated by those assets are less than the assets' carrying amounts. The adoption of this Statement did not have a material impact on the financial statements of the Company.

Product Warranties: The Company accrues for product warranty claims based on historical experience and the expected material and labor costs to provide warranty service. The changes in the carrying amount of Product Warranty reserves for the year ended December 31, 2002 is as follows:

Balance at beginning of period	Charged to costs and expenses	Deductions	Balance at end of period
$6,254	$3,121	$(3,363)	$6,012

Revenue Recognition: The Company recognizes revenue when product is shipped and title is transferred to the customer.

Distribution Costs: Distribution costs, including warehousing and freight related to product shipments, is included in Cost of goods sold.

Stock-Based Compensation: Currently, the Company applies the intrinsic value method permitted under SFAS No. 123, " *Accounting for Stock-Based Compensation*," as defined in Accounting Principles Board ("APB") Opinion No. 25, " *Accounting for Stock Issued to Employees*" and related interpretations, in accounting for the Company's stock option plans. Accordingly, no compensation cost has been recognized in the current or past years.

SFAS No. 123 requires pro forma disclosure of the effect on net income and earnings per share when applying the fair value method of valuing stock-based compensation. The following table sets forth the pro forma disclosure of net income and earnings per share using the Black-Scholes option pricing model. For purposes of this pro forma disclosure, the estimated fair value of the options is amortized ratably over the vesting periods.

	2002		2001		2000	
	Pro Forma	Reported	Pro Forma	Reported	Pro Forma	Reported
Net income	$26,254	$29,275	$81,167	$83,589	$76,413	$78,092
Basic earnings per share	0.62	0.69	1.92	1.97	1.79	1.83
Diluted earnings per share	0.61	0.68	1.90	1.96	1.79	1.83

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

Effective January 1, 2003, the Company will adopt the fair value method of recording stock options contained in SFAS No. 123, which is considered the preferable accounting method for stock-based employee compensation. All future employee stock option grants beginning January 1, 2003 will be expensed over the stock option vesting period based on the fair value at the date the options are granted. The Company will elect to expense stock options using the prospective method prescribed in SFAS No. 148, " *Accounting for Stock-Based Compensation — Transition and Disclosure*". The prospective method requires expense to be recognized for new grants or modifications issued beginning in the year of adoption. No expense is recognized in any year for options issued prior to adoption. The Company expects the impact from the adoption of this Statement to be approximately $0.01 per share for 2003. The Company estimates the impact per share would increase annually over the next several years and level off at approximately $0.06 per share by 2006.

Translation of Foreign Currencies: Asset and liability accounts are translated into U.S. dollars using exchange rates in effect at the date of the consolidated balance sheet; revenue and expense accounts are translated at monthly exchange rates. Translation adjustments are reflected as a component of Shareholders' Equity. For subsidiaries operating in highly inflationary economies, both historical and current exchange rates are used in translating balance sheet accounts, and translation adjustments are included in net income.

Transaction gains and losses are included in Selling, general & administrative expenses and were not material.

Financial Instruments: The Company, on a limited basis, uses forward exchange contracts to hedge exposure to exchange rate fluctuations on certain intercompany loans, purchase and sales transactions and other intercompany commitments. Contracts are written on a short-term basis and are not held for trading or speculative purposes.

The Company recognizes derivative instruments as either assets or liabilities in the balance sheets at fair value. The accounting for changes in the fair value of derivative instruments depends on whether it has been designated and qualifies as part of a hedging relationship and further, on the type of hedging relationship.

For derivative instruments that qualify as a fair value hedge (i.e., hedging the exposure to changes in the fair value of an asset or a liability), the gain or loss on the derivative instrument, as well as the offsetting loss or gain on the hedged item attributable to the hedged risk are recognized in earnings. For derivative instruments that qualify as a cash flow hedge (i.e., hedging the exposure to variability in expected future cash flows), the effective portion of the gain or loss on the derivative instrument is reported as a component of Other comprehensive income and reclassified into earnings in the same period or periods during which the hedged transaction affects earnings. Any remaining gain or loss on the derivative instrument is recognized in earnings. The Company does not hedge its net investments in foreign subsidiaries. For derivative instruments not designated as hedges, the gain or loss from changes in their fair values is recognized in earnings.

Research and Development: Research and development costs are expensed as incurred, and totaled $19,150 in 2002, $17,946 in 2001 and $16,604 in 2000.

Estimates: The preparation of financial statements in conformity with accounting principles generally accepted in the United States, requires management to make estimates and assumptions in certain circumstances that affect the amounts reported in the accompanying consolidated financial statements and notes. Actual results could differ from these estimates.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

Earnings per Share: The following table sets forth the computation of basic and diluted earnings per share (dollars and shares in thousands, except per share amounts).

	2002	2001	2000
Numerator:			
Income before the cumulative effect of a change in accounting principle	$ 66,882	$83,589	$78,092
Cumulative effect of a change in accounting principle, net of tax	(37,607)	—	—
Net income	$ 29,275	$83,589	$78,092
Denominator:			
Denominator for basic earnings per share - Weighted-average shares outstanding	42,259	42,375	42,670
Effect of dilutive securities — Employee stock options	540	235	20
Denominator for diluted earnings per share - Adjusted weighted-average shares outstanding	42,799	42,610	42,690
Basic earnings per share			
Income before the cumulative effect of a change in accounting principle	$ 1.58	$ 1.97	$ 1.83
Cumulative effect of a change in accounting principle, net of tax	(0.89)	—	—
Basic earnings per share	$ 0.69	$ 1.97	$ 1.83
Diluted earnings per share			
Income before the cumulative effect of a change in accounting principle	$ 1.56	$ 1.96	$ 1.83
Cumulative effect of a change in accounting principle, net of tax	(0.88)	—	—
Diluted earnings per share	$ 0.68	$ 1.96	$ 1.83

Reclassification: Certain reclassifications have been made to prior-year financial statements to conform to current year classifications.

New Accounting Pronouncements: Effective January 1, 2002, the Company adopted SFAS No. 144, "*Accounting for the Impairment or Disposal of Long-Lived Assets*". SFAS No. 144 supercedes SFAS No. 121, and APB Opinion No. 30, "*Reporting the Results of Operations — Reporting the Effects of Disposal of a Segment of a Business, and Extraordinary, Unusual and Infrequently Occurring Events*". SFAS No. 144 retains the requirements of SFAS No. 121 whereby an impairment loss is recognized if the carrying value of the asset is not recoverable from its undiscounted cash flows or fair values are less than carrying values. SFAS No. 144 broadens the scope of APB Opinion No. 30 provisions for the presentation of discontinued operations to include a component of an entity. The Statement requires a component of an entity sold or considered held for sale be presented as a discontinued operation. In addition, expected future operating losses from discontinued operations must be reflected in the periods incurred, rather than at the measurement date as previously required by APB Opinion No. 30. The adoption of this Statement did not have a material impact on the financial statements of the Company.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

In April 2002, the FASB issued SFAS No. 145, "*Rescission of FASB Statements No. 4, 44 and 64, Amendment of FASB Statement No. 13, and Technical Corrections*". SFAS No. 145 is effective for fiscal years beginning after May 15, 2002. SFAS No. 145 requires that debt extinguishment must meet the criteria under APB Opinion No. 30 to be classified as an extraordinary item. This statement also amends SFAS No. 13 to require sale-leaseback accounting for certain lease modifications that have economic effects similar to sale-leaseback transactions. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

In June 2002, the FASB issued SFAS No. 146, *"Accounting for Exit or Disposal Activities"*. SFAS No. 146 is effective for disposal activities initiated after December 31, 2002. SFAS No. 146 requires liabilities for one-time termination benefits incurred over future service periods be measured at fair value as of the termination date and recognized over the future service period. This Statement also requires liabilities associated with disposal activities be recorded when incurred instead of when probable as currently required by SFAS No. 5 "*Accounting for Contingencies".* These liabilities should be adjusted for subsequent changes resulting from revisions to either the timing or amount of estimated cash flows, discounted at the original credit-adjusted risk-free rate. Interest on the liability would be accreted and charged to expense as an operating item. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

In November 2002, the FASB issued Interpretation No. 45, " *Guarantor's Accounting and Disclosure Requirements for Guarantees, Including Indirect Guarantees of Indebtedness of Others*". Interpretation No. 45 requires certain disclosures to be made by a guarantor in its financial statements about its obligations under certain guarantees, including product warranties. The disclosure provisions of this Statement are effective for the Company as of the fourth quarter of 2002. The Company has made the required disclosures in these financial statements. This Statement also requires a guarantor to recognize, at inception, for all guarantees issued or modified after December 31, 2002, a liability for the fair value of the obligations it has undertaken in issuing a guarantee. The adoption of the fair value provisions of this Statement are not expected to have a material impact on the financial statements of the Company.

In December 2002, the FASB issued SFAS No. 148, "*Accounting for Stock-Based Compensation — Transition and Disclosure*". SFAS No. 148 does not alter the provision of SFAS No. 123, nor does it require stock-based compensation to be measured under the fair-value method. Rather, SFAS No. 148 does provide three alternative transition methods to companies that elect to expense stock-based compensation using the fair-value approach under SFAS No. 123. As mentioned previously, the Company will adopt the fair-value method of recording stock options contained in SFAS No. 123 effective January 1, 2003. The Company will elect to expense stock options using the prospective method prescribed in SFAS No. 148. The prospective method requires expense to be recognized for new grants or modifications issued beginning in the year of adoption. No expense is recognized in any year for options issued prior to adoption. The Company expects the impact from the adoption of this Statement to be approximately $0.01 per share for 2003. The Company estimates the impact per share would increase annually over the next several years and level off at approximately $0.06 per share by 2006.

In December 2002, the Emerging Issues Task Force ("EITF") issued EITF Issue 00-21, " *Accounting for Revenue Arrangements with Multiple Deliverables*". EITF 00-21 provides guidance on determining whether a revenue arrangement contains multiple deliverable items and if so, requires revenue be allocated amongst the different items based on fair value. EITF 00-21 also requires revenue on any item in a revenue arrangement with multiple deliverables not delivered completely must be deferred until delivery of the item is completed. The effective date of this Issue for the Company will be July 1, 2003. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

In January 2003, the FASB issued Interpretation No. 46, " *Consolidation of Variable Interest Entities* ". Interpretation No. 46 provides guidance for identifying a controlling interest in a Variable Interest Entity ("VIE") established by means other than voting interests. Interpretation No. 46 also requires consolidation of a VIE by an enterprise that holds such a controlling interest. The effective date for this Interpretation will be July 1, 2003. The Company has not yet determined the impact, if any, this Interpretation will have on the financial statements of the Company.

Other: Included in Selling, general & administrative expenses are the costs related to the Company's discretionary employee bonus, net of hospitalization costs, of $32,218 in 2002, $31,947 in 2001 and $54,509 in 2000.

NOTE B — SHAREHOLDERS' EQUITY

In 1999, the Board of Directors authorized an additional share repurchase program of up to 5,000,000 shares of the Company's outstanding Common Shares to satisfy obligations under its stock option plans. This share repurchase program is in addition to the 5,000,000 shares authorized for repurchase by the Board of Directors in September 1998. The Company purchased 501,330 shares at an average cost of $23.12 per share in 2002, bringing the total shares purchased through December 31, 2002, to 7,740,789 at an average cost of $20.30 per share.

NOTE C — ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS)

The components of accumulated other comprehensive income (loss) are as follows:

	Minimum Pension Liability Adjustment, net of tax	Currency Translation Adjustment	Unrealized Gain (Loss) on Derivatives Designated and Qualified as Cash Flow Hedges, net of tax	Total Accumulated Other Comprehensive Loss
Balance January 1, 2000	$ (792)	$(42,732)	$ —	$ (43,524)
Other comprehensive (loss)	(429)	(16,035)	—	(16,464)
Balance December 31, 2000	(1,221)	(58,767)	—	(59,988)
Other comprehensive (loss) income	(514)	(6,450)	226	(6,738)
Balance December 31, 2001	(1,735)	(65,217)	226	(66,726)
Other comprehensive (loss) income	(79,697)	14,319	(246)	(65,624)
Balance December 31, 2002	$(81,432)	$(50,898)	$ (20)	$(132,350)

NOTE D — STOCK PLANS

The 1998 Stock Option Plan ("Stock Option Plan") was adopted by the shareholders to replace The Lincoln Electric Company 1988 Incentive Equity Plan ("Incentive Equity Plan") which expired in May 1998. The Stock Option Plan provides for the grant of options for 5,000,000 shares of Company stock to key employees over a ten-year period.

NOTE D — STOCK PLANS (Continued)

The following table summarizes the option activity for the three years ended December 31, 2002, under all Plans:

	2002		2001		2000	
	Options	Weighted-Average Exercise Price	Options	Weighted-Average Exercise Price	Options	Weighted-Average Exercise Price
Balance, beginning of year	2,736,251	$18.12	2,218,793	$16.76	1,567,334	$18.13
Options granted	669,900	$22.97	694,390	$21.65	787,375	$13.60
Options exercised	(222,246)	$15.21	(171,082)	$14.91	(29,876)	$14.08
Options canceled	(4,434)	$19.57	(5,850)	$17.56	(106,040)	$14.36
Balance, end of year	3,179,471	$19.34	2,736,251	$18.12	2,218,793	$16.76
Exercisable at end of year	1,875,464	$18.29	1,430,280	$17.75	1,065,512	$17.82

During 1996, options for 335,180 shares were granted to employees in settlement of a lawsuit over performance awards relating to prior years. Exercise prices are $15.00 and $17.00 per share. These options are exercisable over five- and ten-year periods and are fully vested, non-qualified and non-transferable. At December 31, 2002 and 2001, there were 94,756 and 124,554, respectively, of these options outstanding.

All other options granted under both the Stock Option Plan and the Incentive Equity Plan are outstanding for a term of ten years from the date of grant. The majority of the options granted under both plans vest ratably over a period of three years from the grant date. The exercise prices of all options were equal to the fair market value of the Company’s shares at the date of grant. As permitted under SFAS No. 123, the Company has continued to record stock-based compensation in accordance with the intrinsic value method established by APB Opinion No. 25. Under the intrinsic value method, compensation expense is measured as the excess, if any, of the market price at the date of grant over the exercise price of the options. Accordingly, no compensation expense was recognized upon the award of these stock options.

In estimating the fair value of options granted during 2002 for the Stock Option Plan and the Incentive Equity Plan, an expected option life of five years was used based on the Company’s historical experience. In prior years, the Company had used ten years as the expected option life. The other weighted-average assumptions were as follows:

	2002	2001	2000
Expected volatility	43.50%	43.13%	42.60%
Dividend yield	2.76%	2.45%	2.90%
Risk-free interest rate	3.60%	5.11%	5.17%
Weighted-average fair value of options granted during the year	$ 7.63	$ 9.52	$ 5.59

The Stock Option Plan for Non-Employee Directors (“Directors Stock Option Plan”) was adopted in May 2000 to replace The Lincoln Non-Employee Directors Restricted Stock Plan, which was terminated. The Directors Stock Option Plan provides for the grant of stock options for the purchase of up to an aggregate of 500,000 Common Shares. Options issued under the Directors Stock Option Plan were 30,000 in 2002 and 34,000 in 2001. There were no shares issued in connection with The Lincoln Non-Employee Directors Restricted Stock Plan during 2002 or 2001 and 5,335 in 2000. Forfeitures under the service requirements of the plan were 1,644 in 2000.

NOTE D — STOCK PLANS (Continued)

At December 31, 2002, there were 2,594,535 shares of common stock available for future grant under all plans, and the weighted-average remaining contractual life of outstanding options was 7.6 years. The following table summarizes information about stock options outstanding as of December 31, 2002:

	Outstanding		Exercisable		
Exercise Price Range	Number of Options	Weighted-Average Exercise Price	Number of Options	Weighted-Average Exercise Price	Weighted-Average Remaining Life
$13 - $15	691,148	$13.51	456,397	$13.52	7.4
$15 - $17	164,184	$15.00	164,184	$15.00	3.6
$17 - $19	170,206	$17.40	160,706	$17.39	4.6
$19 - $21	521,542	$19.75	511,708	$19.77	6.5
$21 - $22	849,982	$21.58	263,435	$21.61	9.0
$22 - $24	758,409	$23.03	300,034	$22.41	8.4
$24 - $26	24,000	$25.50	—	—	9.9

The 1995 Lincoln Stock Purchase Plan provides employees the ability to purchase open market shares on a commission-free basis up to a limit of ten thousand dollars annually. Under this plan, 400,000 shares have been authorized to be purchased. There were 53,035, 6,271 and 26,559 shares purchased in 2002, 2001 and 2000, respectively.

NOTE E — RATIONALIZATION CHARGES

During the first quarter of 2002, the Company recorded rationalization charges of $10,468 ($7,045 after-tax), or $0.17 per diluted share. The rationalization charges were principally related to a voluntary retirement program affecting approximately 3% of the Company's U.S. workforce and asset impairment charges. Workforce reduction charges were $5,353, while non-cash asset impairment charges were $5,115.

NOTE F — SHORT-TERM AND LONG-TERM DEBT

At December 31, 2002 and 2001, long-term debt consisted of the following:

	2002	2001
Senior Unsecured Notes due 2007, interest at 5.58%	$ 40,000	$ —
Senior Unsecured Notes due 2009, interest at 5.89%	30,000	—
Senior Unsecured Notes due 2012, interest at 6.36%	80,000	—
8.73% Senior Note due 2003	9,375	18,750
Foreign borrowings due through 2011, interest at 2.3% to 10.0% (2.6% to 12.4% in 2001)	8,409	10,725
Capital leases	5,991	3,891
Other borrowings due through 2023, interest at 2.0% to 7.9%	13,804	4,249
	187,579	37,615
Less current portion	13,433	13,434
Total	$174,146	$24,181

NOTE F — SHORT-TERM AND LONG-TERM DEBT (Continued)

During March 2002, the Company issued Senior Unsecured Notes (the "Notes") totaling $150,000 through a private placement. The Notes have maturities ranging from five to ten years with a weighted average interest rate of 6.1% and an average tenure of eight years. Interest is payable semi-annually in March and September. The proceeds will be used for general corporate purposes. The Notes contain certain affirmative and negative covenants, including restrictions on asset dispositions and financial covenants (interest coverage and funded debt-to-Earnings Before Interest, Taxes, Depreciation and Amortization ("EBITDA") ratios). The Notes will not be and have not been registered under the Securities Act of 1933, as amended, and may not be offered or sold in the United States absent registration or an applicable exemption from registration requirements.

During March 2002, the Company entered into floating rate interest rate swap agreements with notional amounts totaling $80 million, to convert a portion of the outstanding Notes from fixed to floating rates based on six-month London Inter-bank Offered Rate ("LIBOR"), plus a spread of between 15.5 and 37.5 basis points. The variable rates are reset every six months, at which time payment or receipt of interest is settled. These swaps were designated as fair value hedges, and as such, the gain or loss on the derivative instrument, as well as the offsetting gain or loss on the hedged item attributable to the hedged risk are recognized in earnings. Net payments or receipts under these agreements are recognized as adjustments to interest expense. The fair value of these swaps at December 31, 2002 was $9,893 and is included in Other assets.

During April 2002, the Company replaced its prior committed revolving credit facility with a new three-year revolving Credit Agreement that provides up to $125,000 in borrowings and expires in April 2005. This Credit Agreement may be used for general corporate purposes. The interest rate on borrowings under the Credit Agreement is based on either the LIBOR plus a spread based on the Company's leverage ratio or the prime rate, at the Company's election. A facility fee is payable based upon the daily aggregate amount of commitments. The facility fee is based on the Company's leverage ratio. The Credit Agreement provides for the issuance of Letters of Credit, subject to limits based on amounts outstanding under the Credit Agreement and is subject to the same covenants as the Notes. As of December 31, 2002, there are no borrowings under the credit agreement.

During April 2002, the Company amended and restated its existing 8.73% Senior Notes due in 2003. The 8.73% Senior Notes were amended and restated so that the affirmative and negative covenants are consistent with the Notes. In addition, the amendment and restatement of the 8.73% Senior Notes added an uncommitted private shelf facility allowing for the issuance of an aggregate of $100,000 of additional senior unsecured notes (the "Shelf Notes"). There were no Shelf Notes issued or outstanding under the private shelf facility as of December 31, 2002.

In addition to committed facilities discussed above, at December 31, 2002, the Company had short-term credit lines in the United States, with uncommitted borrowing capacity of $20,000. Short-term borrowings of foreign subsidiaries, included in Notes payable to banks, were $945 and $13,163 at December 31, 2002 and 2001, at weighted-average interest rates of 9.7% and 8.1%, respectively. At December 31, 2002 and 2001, $13,083 and $7,704 of indebtedness was secured by property, plant and equipment.

Maturities of long-term debt, including payments under capital leases, for the five years succeeding December 31, 2002 are $13,433 in 2003, $3,822 in 2004, $1,817 in 2005, $1,825 in 2006, $46,119 in 2007 and $120,563 thereafter. Total interest paid was $8,343 in 2002, $5,447 in 2001 and $6,957 in 2000.

7.4 Right to Customer Materials and Third Party Survey Data; Right to Third Party Software. Customer represents and warrants that it has the right to use the Customer Materials and permit Company to use the Customer Materials as contemplated by this Agreement. Company represents and warrants and covenants that it has, and at all times during the Term, will have, all necessary rights and licenses to grant Customer and the Users the access and use rights set forth in this Agreement and in any Statement of Work, including with respect to any third party software. Company shall promptly notify Customer in writing of all third party software incorporated into the Software.

7.5 Disclaimer. EXCEPT AS EXPRESSLY PROVIDED IN THIS SECTION 7, THE SERVICES AND ANY DELIVERABLES ARE PROVIDED WITHOUT OTHER WARRANTIES OF ANY KIND AND COMPANY SPECIFICALLY DISCLAIMS ALL OTHER WARRANTIES, WHETHER EXPRESS, IMPLIED, OR STATUTORY, INCLUDING, WITHOUT LIMITATION, ALL IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, TITLE, NON-INFRINGEMENT AND ANY WARRANTIES ARISING FROM COURSE OF DEALING OR COURSE OF PERFORMANCE. THE FOREGOING DISCLAIMER, HOWEVER, SHALL NOT DIMINISH OR NEGATE ANY SERVICE LEVEL AGREEMENTS THAT ARE MADE BY THE COMPANY IN A STATEMENT OF WORK.

8. INDEMNIFICATION.

8.1 Indemnification. TO THE FULLEST EXTENT ALLOWED BY LAW, THE COMPANY AGREES TO DEFEND, INDEMNIFY AND HOLD HARMLESS CUSTOMER AND ITS AFFILIATED ENTITIES (INCLUDING, BUT NOT LIMITED TO CONSOLIDATED EDISON, INC. AND CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.) AND THEIR RESPECTIVE TRUSTEES, DIRECTORS, OFFICERS, EMPLOYEES AND AGENTS, REPRESENTATIVES, SUCCESSORS AND ASSIGNS (EACH AN "INDEMNIFIED PARTY" AND COLLECTIVELY, THE "INDEMNIFIED PARTIES") FROM AND AGAINST ALL CLAIMS, DAMAGES, LOSSES, LIABILITIES, COSTS AND EXPENSES (LEGAL AND OTHERWISE), FINES, PENALTIES AND FORFEITURES INCURRED BY OR ASSERTED AGAINST AN INDEMNIFIED PARTY IN CONNECTION WITH A THIRD PARTY CLAIM, INCLUDING CLAIMS MADE BY THE INDEMNIFIED PARTY'S CUSTOMERS, REGULATORY BODIES, AND COMPANY'S VENDORS AND SERVICE PROVIDERS (EACH AN "INDEMNIFIED CLAIM" AND COLLECTIVELY, THE "INDEMNIFIED CLAIMS"), AS A RESULT OF, ARISING OUT OF OR CONNECTED WITH (A) THE WILLFUL MISCONDUCT, FRAUD, BREACH OF LAW, NEGLIGENCE OF THE COMPANY OR ANY OF ITS SUBCONTRACTORS, OR THEIR RESPECTIVE AGENTS, REPRESENTATIVES, EMPLOYEES OR THIRD PARTIES UNDER THEIR DIRECTION OR CONTROL IN CONNECTION WITH THE PERFORMANCE OR NON-PERFORMANCE OF THIS AGREEMENT OR ANY STATEMENT OF WORK, (B) ANY "FOR CAUSE BREACH" OF THIS AGREEMENT COMMITTED BY THE COMPANY, ITS SUBCONTRACTORS, OR ANY OF THEIR RESPECTIVE EMPLOYEES, AGENTS, REPRESENTATIVES, OR THIRD PARTIES UNDER THEIR DIRECTION OR CONTROL, (C) ANY BREACH BY COMPANY OF THIS AGREEMENT OR A STATEMENT OF WORK, (D) ANY BREACH BY COMPANY OF ANY CONTRACTUAL OBLIGATION TO ANY SUPPLIER OF GOODS OR SERVICES SOLD THROUGH THE SERVICES, OR (E) THE WILLFUL MISCONDUCT, FRAUD, BREACH OF LAW, OR NEGLIGENCE OF A SUPPLIER OF GOODS OR SERVICES ENGAGED BY COMPANY IN CONNECTION THE SERVICES (OTHER THAN SUBCONTRACTORS OR OTHER THIRD PARTIES ACTING UNDER COMPANY'S DIRECTION AND CONTROL), BUT ONLY TO THE EXTENT THAT COMPANY IS INDEMNIFIED BY

SUCH PARTY IN CONNECTION WITH THE SAME. THE FOREGOING INDEMNIFICATION OBLIGATION SHALL EXCLUDE ANY INDEMNIFIED CLAIM TO THE EXTENT IT RESULTS FROM THE WILLFUL MISCONDUCT, FRAUD, BREACH OF THIS AGREEMENT OR A STATEMENT OF WORK, BREACH OF LAW, OR NEGLIGENCE OF THE CUSTOMER. THE FOREGOING OBLIGATIONS ARE CONDITIONED ON CUSTOMER: (A) PROMPTLY NOTIFYING COMPANY IN WRITING OF AN INDEMNIFIED CLAIM, PROVIDED THAT, ANY DELAY IN SUCH NOTIFICATION SHALL NEGATE OR DIMINISH THE COMPANY'S INDEMNIFICATION OBLIGATION UNDER THIS SECTION ONLY TO THE EXTENT SUCH DELAY CAUSED ACTUAL PREJUDICE TO THE COMPANY'S ABILITY TO DEFEND AGAINST SUCH CLAIM (B) GIVING COMPANY SOLE CONTROL OF THE DEFENSE THEREOF AND ANY RELATED SETTLEMENT NEGOTIATIONS, PROVIDED THAT, WITHOUT THE PRIOR WRITTEN CONSENT OF THE INDEMNIFIED PARTY, THE COMPANY SHALL NOT ENTER INTO ANY SETTLEMENT OR AGREE TO ANY DISPOSITION THAT IMPOSES ANY CONDITIONS OR OBLIGATIONS ON THE INDEMNIFIED PARTY OTHER THAN THE PAYMENT OF MONIES THAT ARE READILY MEASURABLE AND ARE PAYABLE BY THE COMPANY AS THE INDEMNIFYING PARTY AND (C) COOPERATING AND, AT COMPANY'S REQUEST AND EXPENSE, ASSISTING IN SUCH DEFENSE; PROVIDED HOWEVER, THAT, AN INDEMNIFIED PARTY SHALL AT ALL TIMES HAVE THE OPTION TO PARTICIPATE IN ANY CLAIM THROUGH COUNSEL OF ITS OWN SELECTION AND AT ITS OWN EXPENSE.

8.2 Infringement Claims Against Customer. To the fullest extent allowed by law, Company will defend, indemnify and hold harmless the Indemnified Parties, at Company's own expense, from any loss, liability, damage or expense arising out of or related to a claim, suit or action against Customer or another Indemnified Party brought by a third party to the extent that such claim, suit or action is based upon an allegation that the Software or the Documentation infringes any intellectual property rights of such third party ("**Customer Claim**"), and Company will provide for the defense of any such Customer Claim and shall pay all costs and expenses thereof, including compensation of experts and counsel and pay those costs and damages finally awarded against an Indemnified Party in any such Customer Claim or those costs and damages agreed to in a monetary settlement of such Customer Claim. The foregoing obligations are conditioned on Customer: (a) promptly notifying Company in writing of such Customer Claim, provided that, any delay in such notification shall negate or diminish the Company's indemnification obligation under this Section only to the extent such delay caused actual prejudice to the Company's ability to defend against such Customer Claim (b) giving Company sole control of the defense thereof and any related settlement negotiations, provided that, without the prior written consent of the Indemnified Party, the Company shall not enter into any settlement or agree to any disposition that imposes any conditions or obligations on the Indemnified Party other than the payment of monies that are readily measurable and are payable by the Company as the indemnifying party and (c) cooperating and, at Company's request and expense, assisting in such defense; provided however, that, an Indemnified Party shall at all times have the option to participate in any claim through counsel of its own selection and at its own expense. In the event that the use of the Software or the Software Service is enjoined, Company shall, at its option and at its own expense either (i) procure for Customer the right to continue using the Software or the Software Service, (ii) replace the Software or the Software Service with a non-infringing but functionally equivalent product, (iii) modify the Software or the Software Service so it becomes non-infringing while retaining functional equivalence or (iv) terminate this Agreement and refund the amounts paid by Customer for the Software or the Software Service that relate to the period during which the Software or the Software Service was not usable by Customer. Notwithstanding the foregoing, Company's obligation under this Section or otherwise with respect to any infringement claim shall be reduced to the extent the Customer Claim is based upon: (x) any use of the Software or Software Services not in accordance with this Agreement, (y) any use of the Software or the Software Services in combination with products, equipment, software, or data not supplied or approved by Company if such infringement would have been avoided without the combination with such other products, equipment, software or data, or (z) any modification of the Software of the Software Services by any person other than Company or its authorized agents or subcontractors. This Section states Company's entire liability and Customer's sole and exclusive remedy for infringement claims or actions.

8.3 Claims Against Company. Customer will defend, at its own expense, any claim, suit or action against Company brought by a third party to the extent that such claim, suit or action is based upon the content of the Customer's Materials or Company's use of any Customer Materials in accordance with this Agreement ("**Company Claim**"), and Customer will pay those costs and damages finally awarded against Company in any such action that are specifically attributable to such Company Claim or those costs and damages agreed to in a monetary settlement of such Company Claim. The foregoing obligations are conditioned on Company: (a) promptly notifying Customer in writing of such Company Claim, provided that, any delay in such notification shall negate or diminish the Customer's indemnification obligation under this Section only to the extent such delay caused actual prejudice to the Customer's ability to defend against such Company Claim (b) giving Customer sole control of the defense thereof and any related settlement negotiations, provided that, without the prior written consent of the Company, the Customer shall not enter into any settlement or agree to any disposition that imposes any conditions or obligations on the Company other than the payment of monies that are readily measurable and are payable by the Customer as the indemnifying party and (c) cooperating and, at Customer's request and expense, assisting in such defense provided however, that, the Company shall at all times have the option to participate in any claim through counsel of its own selection and at its own expense. Notwithstanding the foregoing, Customer will have no obligation under this Section 8.3 or otherwise with respect to any Company Claim to the extent based upon any use of the Customer Materials by Company in violation of this Agreement.

9. LIMITATION OF LIABILITY. IN NO EVENT WILL EITHER PARTY BE LIABLE TO THE OTHER PARTY FOR ANY CONSEQUENTIAL, INDIRECT, EXEMPLARY, SPECIAL, OR INCIDENTAL DAMAGES, OR FOR ANY LOST DATA, LOST PROFITS OR COSTS OF PROCUREMENT OF SUBSTITUTE GOODS OR SERVICES, ARISING FROM OR RELATING TO THIS AGREEMENT, HOWEVER CAUSED AND UNDER ANY THEORY OF LIABILITY (INCLUDING NEGLIGENCE), EVEN IF THE APPLICABLE PARTY HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES, PROVIDED HOWEVER, THAT THE FOREGOING LIMITATION SHALL NOT APPLY TO (A) ANY THIRD PARTY CLAIM FOR PROPERTY DAMAGE OR PERSONAL INJURY (INCLUDING DEATH) THAT IS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.1 OF THIS AGREEMENT (INDEMNIFICATION), (B) A PARTY'S BREACH OF ARTICLE 10 OF THIS AGREEMENT (CONFIDENTIALITY), (C) A PARTY'S BREACH OF SECTION 13.10 OF THIS AGREEMENT (COMPLIANCE WITH LAWS), (D) INFRINGEMENT CLAIMS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.2 OF THIS AGREEMENT (INFRINGEMENT CLAIMS AGAINST CUSTOMER), (E) INDEMNIFIED CLAIMS

BROUGHT OR ASSERTED AGAINST CUSTOMER BY A THIRD PARTY OR A REGULATORY OR GOVERNMENTAL AGENCY THAT IS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.1 OF THIS AGREEMENT (INDEMNIFICATION), (F) A COMPANY CLAIM THAT IS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.3 OF THIS AGREEMENT (CLAIMS AGAINST COMPANY), OR (G) DAMAGES OR LIABILITIES TO THE EXTENT ARISING FROM A PARTY'S GROSS NEGLIGENCE, FRAUD OR WILLFUL MISCONDUCT. COMPANY'S TOTAL CUMULATIVE LIABILITY IN CONNECTION WITH THE SERVICES TO BE PROVIDED UNDER EACH STATEMENT OF WORK, WHETHER IN CONTRACT OR TORT OR OTHERWISE, WILL NOT EXCEED THE AGGREGATE VALUE OF THE CONTRACT DURING THE INITIAL TERM (WHICH, FOR PURPOSES OF CLARITY, SHALL BE THE SUM OF THE FEES PAID AND THE FEES AUTHORIZED TO BE PAID BY CUSTOMER TO COMPANY UNDER SUCH STATEMENT OF WORK DURING THE INITIAL TERM, AS SUCH AMOUNT IS SET FORTH ON THE BLANKET PURCHASE AGREEMENT OR PURCHASE ORDER ISSUED BY CUSTOMER IN CONNECTION WITH SUCH STATEMENT OF WORK); PROVIDED HOWEVER, THAT THE FOREGOING LIMITATION SHALL NOT APPLY TO (A) ANY THIRD PARTY CLAIMS FOR PROPERTY DAMAGE OR PERSONAL INJURY (INCLUDING DEATH) THAT IS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.1 OF THIS AGREEMENT (INDEMNIFICATION), (B) A PARTY'S BREACH OF ARTICLE 10 OF THIS AGREEMENT (CONFIDENTIALITY), (C) A PARTY'S BREACH OF SECTION 13.10 OF THIS AGREEMENT (COMPLIANCE WITH LAWS), (D) INFRINGEMENT CLAIMS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.2 OF THIS AGREEMENT (INFRINGEMENT CLAIMS AGAINST CUSTOMER), (E) INDEMNIFIED CLAIMS BROUGHT OR ASSERTED AGAINST CUSTOMER BY A THIRD PARTY OR A REGULATORY OR GOVERNMENTAL AGENCY THAT IS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.1 OF THIS AGREEMENT (INDEMNIFICATION), (F) A COMPANY CLAIM THAT IS SUBJECT TO INDEMNIFICATION PURSUANT TO SECTION 8.3 OF THIS AGREEMENT (CLAIMS AGAINST COMPANY), OR (G) DAMAGES OR LIABILITIES TO THE EXTENT ARISING FROM A PARTY'S GROSS NEGLIGENCE, FRAUD OR WILLFUL MISCONDUCT..

10. CONFIDENTIALITY.

10.1 Definition. "Confidential Information," when used in connection with Customer, means any proprietary, sensitive or confidential data, information, records, reports, analysis, plans, drawings, specifications, code, intellectual property or documents pertaining to the current, future or proposed business (financial or otherwise), business plans, programs (including any energy efficiency and demand management programs), technologies, infrastructure, assets, equipment and systems and non-public pricing or billing information, and customer information (including names, addresses, account numbers, billing and usage information, energy consumption data, service classifications, detail regarding participation or non-participation in energy efficiency or demand management programs, and for businesses, North American Industry Classification System (NAICS) codes) of customers of Customer or any of its affiliated entities (including Customer PII), in each case whether such confidential information is written, electronic, oral, or visual and whether or not marked or identified as confidential. "Confidential Information," when use in connection with Company, means any proprietary, sensitive or confidential data, information, records, reports, analysis, plans, drawings, specifications, code, intellectual property and documents, whether in written, electronic or oral form regarding Company's proprietary analytics software, Company's proprietary methodologies for analyzing data to make energy efficiency recommendations, any confidential pricing information of Company, and any other written or electronic information of Company that is marked as confidential or proprietary, or which Customer should reasonably know is confidential or proprietary to Company based on the nature of the information or the circumstances of its disclosure. Confidential Information shall also include any and all copies of a Party's Confidential Information, and any notes, extracts, compilations, studies or other documents based upon, derived from or containing a Party's Confidential Information.

10.2 Nondisclosure; No Export. Each party, in its capacity as a recipient of Confidential Information of the other Party (in such capacity, a "**Recipient**"), shall, with respect to the discloser of the Confidential Information (in such capacity, the "**Discloser**"): (a) hold such Confidential Information in strict confidence, (b) not disclose such Confidential Information to any other person, firm or entity, except as expressly permitted in this Agreement, (c) not use such Confidential Information other than in connection with the Purpose (as defined below), (d) limit reproduction of such Confidential Information to the extent required to fulfill the Services and any purpose permitted by this Agreement or a Statement of Work (the "**Purpose**"), (e) store and transmit such Confidential Information (whether in hard copy or electronic format or some other format) (i) in a secure location that is not accessible to any person or entity not authorized to receive the Confidential Information under the provisions hereof and (ii) in a manner that otherwise complies with applicable law, (f) otherwise use at least the same degree of care to avoid publication or dissemination of Confidential Information as it employs (or would employ) with respect to its own confidential information which it does not (or would not) desire to have published or disseminated, which shall not be less than commercially reasonable care and (g) with respect to Customer PII, such Confidential Information will be safeguarded from unauthorized disclosure with all reasonable care, and if Customer PII or other Confidential Information is subject to legal requirements mandating encryption, then the applicable Confidential Information shall be stored and transferred using commercially reasonable encryption methods that meet applicable legal requirements. In addition, neither Party shall transmit or store outside of the United States any Confidential Information of the other Party without the written permission from that other Party. In addition, if Company is affiliated with or doing work for any retail energy business interest, then Company shall maintain internal security arrangements that will keep all data, information and documents related to the customers of Customer and its affiliated entities secure from any of the employees of Company or its affiliates involved in unregulated retail energy business related activities in the service territory from which the data was extracted, and, if requested by Customer, shall provide Customer with specific details on Company's internal security arrangements that will keep Customer's customer data secure from such employees involved in unregulated retail energy business related activities in the service territory from which the data was extracted. Promptly upon Discloser's written request, the Recipient shall provide documentation reasonably detailing its confidentiality and security practices.

10.3 Exceptions. Recipient's obligations under Section 10.2 above with respect to any Confidential Information of Discloser will terminate if and when Recipient can document that such information: (a) was already lawfully known to Recipient at the time of disclosure by

Discloser, (b) is disclosed to Recipient by a third party who had the right to make such disclosure without any confidentiality restrictions, (c) is, or through no fault of Recipient or its subcontractors, agents or representatives has become, generally available to the public, or (d) is independently developed by Recipient without access to or use of the Confidential Information. In addition, Recipient may disclose Confidential Information to the extent that such disclosure is required by law or by the order of a court or similar judicial or administrative body, provided that Recipient notifies Discloser of such required disclosure in writing prior to making such disclosure and cooperates with Discloser, at Discloser's reasonable request and expense, in any lawful action to contest or limit the scope of such required disclosure. Company agrees, however, that the exceptions listed in (a) and (b) of this paragraph shall not apply to Customer PII.

10.4 Permitted Disclosure to Agents, Representatives, and Regulatory Authorities. A Recipient may disclose Confidential Information of the Discloser to the directors, officers, employees, agents, and independent contractors of the Recipient and its affiliated entities (collectively, "Agents") who have a legitimate "need to know" such Confidential Information in connection with the Purpose, provided that each such Agent first: (i) is advised by the Recipient of the sensitive/confidential nature of the Confidential Information; and (ii) is caused by the Recipient to fully comply with the terms of this Confidentiality Agreement. In addition, a Recipient may disclose Confidential Information of the Discloser to the vendors, subcontractors and consultants of the Recipient (each a "Representative" and collectively the "Representatives") who have a legitimate "need to know" such Confidential Information in connection with the Purpose, provided that, that each such Representative first: (i) is advised by the Recipient of the sensitive/confidential nature of the Confidential Information; and (ii) is caused by the Recipient to be bound by and observe confidentiality terms at least as protective of the Confidential Information as is required by this Section 10. In addition to the requirements listed in the immediately preceding sentence, if Company desires to disclose any Customer PII to a Representative, Company must first obtain Customer's prior written approval of the proposed Representative; provided, however, that no such prior written approval is required with respect to a Representative of the type described in Section 10.7 if such Representative's privacy and security practices with respect to Customer PII are at least as protective of the Customer PII as the privacy and security practices of the corresponding Representative set forth in Schedule 10.7. Without limiting any direct rights that a Discloser may have against a Recipient's Agents and Representatives, the Recipient shall be responsible to the Discloser for any act or omission of the Recipient's Agents and Representatives which, if committed by the Recipient, would constitute a breach of this Section 10. In addition, nothing in this Section 10 shall prohibit Customer from providing information regarding the Purpose and the services and work being undertaken in connection therewith to a regulatory authority with jurisdiction over Customer (e.g., New York State Public Service Commission) to the extent Customer deems such disclosure necessary or advisable, and to the extent any such disclosure includes the Confidential Information of the Company, the Customer shall request that such Confidential Information be afforded confidential treatment by the relevant government agency.

10.5 Breach Notification. In the event that a Recipient or its Agents or Representatives (a) loses or improperly discloses any Confidential Information of the Discloser (or reasonably believes such a loss or disclosure has occurred) or (b) suffers a data breach or a breach in security (or a data breach or breach in security is reasonably suspected), and such breach has affected or may affect the Discloser's Confidential Information, the Recipient agrees to notify the Discloser promptly (i.e., if the breach or suspected breach involves Customer PII, not more than forty-eight (48) hours after the Party becomes aware of the breach or suspected breach, and in any event and in all cases, not more than any legally mandated notification period) and to reasonably cooperate and coordinate with (or, if applicable, cause the Representative to reasonably cooperate and coordinate with) the Discloser concerning the Discloser's investigation, monitoring, notification requirements, retrieval efforts, prevention and mitigation, and reporting obligations in connection with the actual or possible breach, loss or improper disclosure.

10.6 Return of Information. Within thirty (30) days after the written request of a Discloser, the Recipient will return (or, with respect to its Representatives, cause the return) of a Discloser's Confidential Information to the Discloser, or, at the Recipient's option, destroy (or, with respect to the Representatives, cause the destruction of) all of the Confidential Information of such Discloser that was received by, or is in the possession of, the Recipient and its Agents and Representatives and, in the case of destruction, such destruction shall be completed in a manner that is commercially reasonable and complies with all applicable laws, and the Recipient shall promptly provide the Discloser with a duly executed certificate, certifying that the Recipient and its Representatives have complied with the requirements of this provision. Notwithstanding the foregoing, but subject to the post-termination cooperation requirements set forth in Section 5.4 of this Agreement, the Recipient may retain electronic copies of the Discloser's Confidential Information solely for archival purposes; provided, that: (a) such copies were created prior to the receipt of a request for a return of information under this paragraph as part of the Recipient's ordinary course system backup procedures, (b) such copies are not readily accessible by the Recipient's agents, employees, contractors, professional advisors or other third parties (other than the party's information technology specialists) and (c) any Confidential Information so retained remains subject to the terms of this Section 10 for so long as such Confidential Information remains in the possession of the Recipient notwithstanding any termination or expiration of the Agreement. The terms of this provision shall survive the termination of this Agreement.

10.7 Disclosure of Customer PII. Customer acknowledges that, subject to the terms and conditions of this Section 10, including the requirement set forth in Section 10.4 above that Customer provides its prior written approval of a Representative to whom Company will disclose Customer PII, Company may disclose Customer PII as follows:

Category/Function of third party	Type of Customer PII disclosed
Email Provider	Customer first and last name, email address
Rewards Provider	Customer first and last name, email address
Printed Reports Provider	Customer first and last name, service address, mailing address,

	actual and comparative usage
Product Vendors	Customer first and last name, email address and shipping address provided by customer
Third Party Service Providers	Customer first and last name, email address and service address provided by customer

Customer hereby consents to the use of the Representatives set forth on *Schedule 10.7* attached to this Agreement. Company shall be responsible for the acts and omissions of its Representatives, service providers and subcontractors in connection with this Agreement and the applicable Statement of Work.

10.8 Liabilities and Remedies. Each Party, in its capacity as a Recipient, acknowledges and agrees that unauthorized disclosure or improper use of the Confidential Information of the Discloser would cause the Discloser irreparable harm, the amount of which may be difficult to ascertain and which could not be adequately compensated by monetary damages. Accordingly, each Party, in its capacity as a Discloser, shall have the right to seek specific performance and/or injunctive relief to enforce compliance by the Recipient (and by its Agents and Representatives) with the terms of this Section 10, in addition to any other rights and remedies that such Discloser may have at law and in equity, including monetary damages, without the need to post a bond.

11. ADDITIONAL POLICIES AND REQUIREMENTS.

11.1 Gift Policy; Unlawful Conduct.

(a) Company is advised that it is a strict Customer policy that neither employees of Customer nor their family members, agents, or designees, shall accept gifts, whether in the form of a payment, gratuity, service, loan, thing, promise, or any other form (collectively "**Gift**"), from contractors, sellers, or others transacting or seeking to transact any business with Customer. Accordingly, Company, its employees, agents and subcontractors are strictly prohibited from offering or giving any Gift to any employee of Customer or any employee's family member, agent, or designee, whether or not made with intent to obtain special consideration or treatment and whether or not the employee is involved in the Services to be performed under the Agreement. Furthermore, Company is prohibited from engaging in fraudulent or unlawful conduct in the negotiation, procurement, or performance of any contract between Customer and the Company or any work performed for or on behalf of Customer, or in any other dealings relating to Customer. Company's breach of any obligation of this paragraph shall be a material breach of contract entitling Customer to, in its sole discretion, cancel all contracts between Customer and Company, remove Company from its list of qualified bidders, and invoke and enforce all other rights or remedies that Customer may have under contract or applicable law. For the purposes of this paragraph, the term "**Customer**" shall include all of Customer's affiliates, (including, but not limited to, Consolidated Edison Company of New York, Inc. ("Con Edison"). Company shall promptly report any alleged violation of this policy to the Customer's Vice President of Purchasing or to the Ethics Helpline at 1-855-FOR-ETHX (1-855-367-3849).

(b) In accordance with Section 15 of the New York State Public Service Law, Customer and Con Edison employees (and contractors working for Customer or Con Edison) are prohibited from offering any present, gift or gratuity (including, but not limited to, meals, refreshments and transportation), of any kind or any monetary amount, to any commissioner of the New York State Public Service Commission or to any employee of the New York State Department of Public Service.

(c) Many other federal, state, and local government agencies have restrictions on the value of gifts, meals and refreshments that their employees may accept. There is no uniform policy or rule applicable to employees of all government agencies. Giving or offering to give presents, gifts or gratuities in violation of applicable rules or laws could create the false impression that an entity or its employees or contractors are trying to improperly influence a government employee. It could also lead to civil or criminal penalties. Therefore, contractors and their employees, agents and subcontractors working on Customer or Con Edison projects shall not offer any presents, gift or gratuities to government employees in the course of their work for Customer or Con Edison.

(d) The Gift Policy and Unlawful Conduct provisions set forth in this Section 11 are in addition to, and not in lieu of, any other provisions governing the contractual relationship between Customer (or Con Edison) and the Company (including any other provisions pertaining to similar subjects) and are intended to be applied together with such other provisions.

11.2 Requirements of Federal Contractors. To the extent applicable to Company and the Services, the terms set forth in ***Exhibit A*** apply, provided that all reference to "Contractor" therein shall be deemed a reference to "Company".

12. INSURANCE.

12.1 Insurance. The Company shall procure and maintain the following insurance, at its own expense, until completion and acceptance of performance hereunder, and thereafter to the extent stated below, with not less than the monetary limits specified. The insurance shall be placed with insurance companies acceptable to Customer.

A. Employment related insurance

(i) Workers' Compensation Insurance as required by law.

(ii) Employers' Liability Insurance, including accidents (with a limit of not less than $1,000,000 per accident) and occupational diseases (with a limit of not less than $1,000,000 per employee).

B. Commercial General Liability Insurance, including Contractual Liability, with limits of not less than $5,000,000 per occurrence for bodily injury or death and not less than $1,000,000 per occurrence for property damage or a combined single limit of not less than $5,000,000 per occurrence and, for at least three (3) years after completion of performance hereunder, Products/Completed Operations Liability Insurance with similar but separate and independent limits. The required limits may be met with a combination of primary and excess liability policies. The insurance shall be in policy forms which contain an "occurrence" and not a "claims made" determinant of coverage. There shall be no policy deductibles without Customer's prior written approval.

The insurance policy or policies shall name Consolidated Edison Company of New York, Inc. ("**Con Edison**"), Orange and Rockland Utilities, Inc. and Consolidated Edison, Inc. as additional insured with respect to the services furnished hereunder and completed operations. There shall be no exclusion for claims by Company's employees against Con Edison or Customer based on injury to Company's or any subcontractor's employees.

C. Commercial Automobile Liability Insurance, covering all owned, non-owned and hired automobiles used by the Company or any of its subcontractors, with a combined single limit of not less than $1,000,000 per accident for bodily injury or death and property damage.

D. Cyber Liability Insurance covering third party financial losses including, defense costs, notification cots, data breach response costs, settlements, judgments and forensic expenses incurred by an insured as a result of breach of privacy due to data theft from debit and credit cards or confidential information from an insured; or for transmission from a computer virus, Phishing attach or similar malicious code use that causes third-party loss including the failure of network systems that are essential to an insured or to third parties; with limits of not less than $5 million per occurrence and annual aggregate.

E. All Risk insurance for the loss, damage or destruction of property, that includes coverage for theft, with limits of not less than $1 million per loss. The insurance should include employee theft coverage, theft by sole proprietor, partners or directors, loss inside the premises coverage, loss outside the premises coverage, depositor forgery coverage and computer theft. The crime insurance should include coverage for third parties and clients and include a Loss Payee endorsement payable to Orange and Rockland Utilities, Inc.

F. Professional Liability Insurance in the amount of not less than $3,000,000 per occurrence for the Term of the Agreement and for at least three years following final completion and acceptance of the services to be furnished under the Agreement.

The Company shall furnish Customer with written notice at least ten (10) days' prior to the effective date of cancellation of the insurance or of any changes in policy limits or scope of coverage. All coverage of additional insureds required hereunder shall be primary coverage and non-contributory as to the additional insureds. All insurance required hereunder shall contain a waiver of subrogation in favor of the additional insureds.

At Customer's request, Company shall furnish Customer with copies of the policies specified in paragraph B above and Certificate(s) of Insurance covering all required insurance, signed by the insurer or its authorized representative. Such certificates shall state that the policies have been issued and are effective, show their expiration dates, and state that Consolidated Edison Company of New York, Inc., Orange and Rockland Utilities, Inc. and Consolidated Edison, Inc. are additional insureds with respect to all coverages enumerated in paragraph B of this Article with respect to the services and completed operations. Customer shall have the right, upon reasonable request (i.e., a claim that may be covered by the applicable insurance policy has arisen), to require the Company to furnish Customer, with a copy of the insurance policy or policies required under paragraphs A, C, D, E and F of this Section.

Certificates of insurance identifying this Agreement shall be sent to:

Consolidated Edison Company of New York, Inc.
4 Irving Place, 17th Floor
New York, NY 10003
Attention: Purchasing Department
Supplier Management Group (SMG)

To the fullest extent allowed by law, the Company agrees that this is an insured contract and that the insurance required herein is intended to cover Customer for its own liability for any cause of action in any claim or lawsuit for bodily injury or property damage arising out of the Services, except to the extent such liability arises from the negligence of Customer or any non-parties to the Agreement who are not acting as a subcontractor of the Company or an agent, servant, representative or employee of the Company or any of its subcontractors.

For purposes of interpretation or determination of coverage of any policy of insurance or endorsement thereto, the Company shall be deemed to have assumed tort liability for any injury to any employee of Company or Customer arising out of the performance of the Services, except to the extent such injury is caused by the negligence of Customer, and notwithstanding any statutory prohibition or limitation of the Company's contractual obligations hereunder.

13. GENERAL PROVISIONS.

13.1 Assignment. Neither Party may assign or transfer, by operation of law or otherwise, this Agreement or any of its rights under this Agreement to any third party without the other Party's prior written consent, such consent shall not be unreasonably withheld or delayed; except that either Party may assign this Agreement by operation of law or otherwise to any successor to its business or assets to which this Agreement relates, whether by merger, sale of assets, sale of stock, reorganization or otherwise. Any attempted assignment or transfer in violation of the foregoing will be null and void. This Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective successors and permitted assigns, and shall not confer any rights or remedies upon any person or entity not a party hereto.

13.2 Subcontracting; Hosting Provider.

(a) Company shall not subcontract all or any portion of the performance of the Services to be provided under any Statement of Work without the express written approval of Customer as to the work to be subcontracted and the subcontractor; provided, however, that this limitation shall not apply to the purchase of standard commercial supplies, services (but this approval requirement shall apply to all service providers who will receive or have access to Customer PII or other Confidential Information of Customer except to the extent such approval is not required pursuant to the terms of Section 10.4 of this Agreement), or raw materials; and provided further, that the Contractor shall not be relieved of any obligations hereunder by reason of any such approved subcontracting. Should any approved subcontractor fail to perform to the satisfaction of Customer, Customer shall have the right to rescind its approval. Nothing contained herein shall create any contractual rights in any subcontractor against the Customer. If work to be performed under this Agreement or a related Statement of Work is on a cost-plus or T&M (time and material) basis and is in an amount exceeding $100,000 and Company enters into a subcontract with a subcontractor to whom Company is subcontracting all or any portion of the performance to be rendered under this Agreement or a related Statement of Work on a cost-plus or T&M basis in an amount exceeding $5,000, immediately after Company enters into such subcontract, Company shall send a copy of such subcontract to:

Consolidated Edison Company of New York, Inc.
4 Irving Place
New York, NY 10003
Attention: Purchasing Department
Section Manager,
Technology and Strategic Initiatives

(b) The Company represents, warrants and covenants that Amazon Web Services, Inc. and/or ViaWest, Inc. shall act as its initial hosting service provider and that the Company shall not permit its hosting service provider (i) to possess or have access to unencrypted Customer Materials or (ii) to transmit or store Customer Materials outside of the United States of America. The Company shall use commercially reasonable efforts to provide at least thirty (30) days prior written notice before replacing the hosting service provider with a different hosting service provider ("**Substitute Provider**"). Company shall reasonably cooperate with Customer in conducting due diligence to ensure that the Substitute Provider meets Customer's then current data protection and cybersecurity requirements. If Customer makes a good faith determination that the Substitute Provider does not meet such requirements, Customer will promptly notify Company in writing with a summary of Customer's concerns and if these concerns cannot be addressed to Customer's reasonable satisfaction and Company proceeds with the Substitute Provider, Customer shall have the right to terminate this Agreement without liability to Company upon thirty (30) days prior written notice to the Company and all pre-paid fees for the period after such early termination shall be promptly refunded to the Customer.

13.3 Set-Off. Customer shall have the right to set off against any sums due the Company under this Agreement or any related Statement of Work any amounts owed by Company to Customer under this Agreement or any Statement of Work without prejudice to the rights of the parties in respect of such claims.

13.4 Investigation and Audit; Cybersecurity Audits. (a) Company hereby agrees, during regular business hours, to cooperate fully with any investigation, audit, or inquiry conducted by Customer (or its outside auditor) or any federal, state or local government agency or authority relating to any aspect of this Agreement, any Statement of Work or any services furnished thereunder, and the Company shall make all of its books, records, and accounts available for inspection and audit in connection therewith. Moreover, in the event this Agreement or any Statement of Work now provides or in the future is revised to provide for performance, or any part thereof, on a cost-reimbursable basis (whether or not a fee has, in addition, been fixed by the parties), time-and-materials basis or similar basis, or provides for Customer to share in net earnings collected by the Company or requires Contractor to collect money from Customer (e.g., advertising payments) that is payable to specified third parties, the Company shall maintain detailed books, records and accounts covering costs incurred or, as applicable, time and materials used in connection therewith, and shall make said books, records and accounts available for inspection and audit by Customer, the investigating governmental agency or authority (and their respective authorized representatives during the term of the Agreement and any Statements of Work and for a period of six (6) years after final payment under the this Agreement and Statements of Work. The cost of any audit initiated by the Customer under this provision shall be at Customer's expense, provided however, that if an investigation, audit, or inquiry discloses that Customer has paid the Company for any costs which were not in fact incurred or for any time spent or materials used which were not in fact spent or used, or for any other costs that were improperly charged, or if such investigation, audit or inquiry discloses that Company has not disbursed the correct amount of net earnings to Customer or has not properly paid out Customer money that was provided to Company for payment to specified third parties, the Company shall be liable for any amounts owed to Customer or the specified third party, as the case may be, plus the reasonable costs and expenses incurred by the Customer in connection with such investigation, audit or inquiry.

(b) The Company will also ensure that all Customer Materials that are in transit from Company or at rest will be encrypted and that all personnel of Company or of an approved subcontractor who handle Customer Materials or funds held by Company for the payment to Customer, its customers or other third parties have undergone appropriate background security checks. Once every twelve (12) months during the Term and upon ten (10) days prior written notice to Company (i) Customer shall have a right, at Customer's expense, to audit Company's security controls and Company shall reasonably cooperate with Customer in the performance of any such audit, and (ii) Customer shall receive the Company's most recent annual SSAE 16/SOC II audit report (which shall not be dated more than twelve (12) months after the prior SSAE 16/SOC II audit report delivered hereunder).

13.5 Force Majeure. Except for any payment obligations, neither Party shall be liable hereunder by reason of any failure or delay in the performance of its obligations hereunder to the extent resulting from any cause which is beyond the reasonable control of such Party and for which a workaround cannot be achieved without substantial effort or expense. The time for performance in any instance of delay caused by force majeure shall be extended by a period equal to the time lost by reason of the excusable delay.

13.6 Notices. All notices, consents, and approvals under this Agreement must be delivered in writing by electronic mail, nationally recognized overnight courier, facsimile, or certified or registered mail, (postage prepaid and return receipt requested) to the other Party at the address for each Party first set forth on the signature page, and will be effective upon receipt, except that notices sent by nationally recognized overnight courier shall be deemed effective on the next business day and notices sent by certified or registered mail (postage prepaid and return receipt requested) shall be deemed effective on the fifth business day after mailing. Additionally, electronic mail and facsimile may not be used for providing legal notices, but may be used to distribute routine communications and to obtain approvals and consents.

13.7 Governing Law; Submission to Jurisdiction. This Agreement will be governed by and interpreted in accordance with the laws of the State of New York without reference to its choice of law rules. **THE PARTIES EACH HEREBY IRREVOCABLY SUBMIT TO THE JURISDICTION OF THE STATE AND FEDERAL COURTS LOCATED IN NEW YORK COUNTY, NEW YORK WITH REGARD TO ANY DISPUTE OR CONTROVERSY ARISING OUT OF THIS AGREEMENT, A STATEMENT OF WORK OR THE PARTIES' DEALINGS WITH ONE ANOTHER IN CONNECTION WITH THE FOREGOING AND THE PARTIES EACH CONSENT TO THE SELECTION OF THE STATE AND FEDERAL COURTS LOCATED IN NEW YORK COUNTY, NEW YORK AS THE EXCLUSIVE FORUMS FOR ANY LEGAL PROCEEDING ARISING OUT OF THIS AGREEMENT, A STATEMENT OF WORK OR THE PARTIES' DEALINGS WITH ONE ANOTHER IN CONNECTION WITH THE FOREGOING.**

13.8 Remedies. Except as otherwise expressly provided in this Agreement, the Parties' rights and remedies under this Agreement are cumulative. Each Party acknowledges and agrees that any actual or threatened breach of Sections 3 or 10 will constitute immediate, irreparable harm to the non-breaching Party for which monetary damages would be an inadequate remedy, that injunctive relief is an appropriate remedy for such breach, and that if granted, the breaching Party agrees to waive any bond that would otherwise be required. If any legal action is brought by a Party to enforce this Agreement, the prevailing Party will be entitled to receive its attorneys' fees, court costs, and other collection expenses, in addition to any other relief it may receive from the non-prevailing Party.

13.9 Relationship of the Parties. The Parties acknowledge that Company is an independent contractor of Customer, and its employees are not employees of Customer. Nothing in this Agreement or any Statement of Work will be construed as creating a partnership, joint venture, or agency relationship between the Parties, or as authorizing either party to act as an agent for the other or to enter contracts on behalf of the other. Nothing in this Agreement is intended to confer any rights or remedies on any other person or entity, which is not a Party to this Agreement.

13.10 Compliance with Laws. Each Party shall comply with those laws and regulations in jurisdictions within the United States that are specifically applicable to the applicable Party notwithstanding this Agreement.

13.11 Waivers. Any waiver or failure to enforce any provision of this Agreement on one occasion will not be deemed a waiver of any other provision or of such provision on any other occasion. Any waiver must be in writing and signed by the Party entitled to the benefit of the right being waived. Unless otherwise stated in the waiver, any waiver applies only to the specific circumstance for which the waiver is given and not to any subsequent circumstance involving the same or any other right.

13.12 Severability. If any provision of this Agreement or a Statement of Work is held by a court of competent jurisdiction to be unenforceable, such provision will be changed and interpreted to accomplish the objectives of such provision to the greatest extent possible under applicable law and the remaining provisions of this Agreement will continue in full force and effect.

13.13 Counterparts. This Agreement may be executed in counterparts, each of which will be considered an original, but all of which together will constitute the same instrument. Signatures exchanged by facsimile or electronic mail shall have the same effect as original signatures.

13.14 Entire Agreement; Amendment. This Agreement, including any Statement of Work and any exhibits or attachments thereto, constitute the entire agreement between the Parties regarding the subject hereof and supersedes all prior or contemporaneous agreements, understandings, and communication, whether written or oral. This Agreement sets forth the general terms and conditions applicable to all Services provided by Company to Customer under the specific terms and conditions set forth in the applicable Statement of Work. No terms and conditions proposed by either Party shall be binding on the other Party unless accepted in writing by both Parties, and each Party hereby objects to and rejects all terms and conditions not so accepted. To the extent of any conflict between the provisions of this Agreement and the provisions of any Statement of Work, the provisions of the Statement of Work shall govern, unless the term of this Agreement states that it shall govern notwithstanding anything to the contrary stated in the Statement of Work. This Agreement will not be modified except by a subsequently dated written amendment signed on behalf of Company and Customer by their duly authorized representatives.

[Signature page follows]

The Parties by their authorized representatives have entered into this Master Services Agreement as of the Effective Date.

ORANGE AND ROCKLAND UTILITIES, INC.	**SIMPLE ENERGY, INC.**
Signature:	Signature:
Printed: William Sonnemann	Printed: Justin Segall
Title: Sr. Procurement Specialist	Title: President

Address for Notice:	Address for Notice:
One Blue Hill Plaza Pearl River, NY 10965-9006 Attention: Donald Kennedy, Director	1215 Spruce St, Suite 301 Boulder, CO 80302 Attention: Legal

With a copy to:

Consolidated Edison Company of New York, Inc.
4 Irving Place
New York, NY 10003
Attn: General Counsel

SCHEDULE 10.7

PROVIDERS

Category/Function of third party	Provider Name
Email Provider	[redacted]
Rewards Provider	[redacted]
Printed Reports Provider	[redacted]
Product Vendors	[redacted]
Third Party Service Providers	[redacted]

EXHIBIT A

REQUIRED CLAUSES AND CERTIFICATIONS

(In this document, the other party to the contract
with Customer is referred to as the "Contractor")

Dated: April 2015

As a Federal Government contractor, Customer must require the Contractor to agree to be bound by and comply with the following clauses and make the following certifications. Where clauses or certifications require the Contractor to be bound by and/or comply with a referenced clause or regulation or to make a referenced certification, such referenced provisions are incorporated by reference herein and have the same force and effect as if they were set forth herein in full text.

Some general guidance as to the applicability of clauses or certifications incorporating such referenced provisions may be provided below. However, the referenced provisions, together with any relevant law or regulation, should also be consulted to determine applicability to the Contractor and/or the contract.

1. RESTRICTIONS ON SUBCONTRACTOR SALES TO THE GOVERNMENT

(this clause is applicable to contracts exceeding $150,000)

The Contractor agrees to be bound by and comply with the clause entitled "Restrictions On Subcontractor Sales To the Government (SEP 2006)," which is contained in Section 52.203-6 of the Federal Acquisition Regulation (section 52.203-6 of title 48 of the Code of Federal Regulations), including the requirement therein to incorporate the substance of the clause in subcontracts under this contract which exceed $150,000.

2. ANTI-KICKBACK PROCEDURES

(this clause is applicable to contracts exceeding $150,000)

The Contractor agrees to be bound by and comply with the clause entitled "Anti-Kickback Procedures (OCT 2010)" except for subparagraph (c)(1) thereof, which clause is contained in Section 52.203-7 of the Federal Acquisition Regulation (section 52.203-7 of title 48 of the Code of Federal Regulations), including the requirement to incorporate the substance of the clause (except for subparagraph (c)(1) thereof) in subcontracts under this contract which exceed $150,000.

3. **<u>CONTRACTORS THAT ARE DEBARRED, SUSPENDED, OR PROPOSED FOR DEBARRMENT BY THE FEDERAL GOVERNMENT</u>**
(this clause is applicable to contracts exceeding $30,000)

The Contractor agrees to be bound by an comply with the clause entitled "Protecting the Government's Interest When Subcontracting with Contractors Debarred, Suspended, or Proposed for Debarment (DEC 2010)" which clause is contained in Section 52.209-6 of the Federal Acquisition Regulation (section 52.209-6 of title 48 of the Code of Federal Regulations), including the requirement to incorporate the substance of the clause in subcontracts under this contract which exceed $30,000 and are not for commercially available off-the-shelf items and the requirement to notify Customer if the Contractor or its subcontractors are debarred, suspended, or proposed for debarment by the Federal Government. The Contractor shall submit in writing to Customer, with any bid, offer or proposal for a contract that is not for a commercially available off-the-shelf item and will exceed $30,000 and again at the time of the award of any contract that will exceed such amount, a statement as to whether or not the Contractor or any of its principals is debarred, suspended, or proposed for debarment by the Federal Government. The Contractor agrees that any action that Customer is required by the Federal Government to take with respect to the contract as a consequence of the Contractor's being so debarred, suspended, or proposed for debarment shall not result in any liability of Customer to the Contractor.

4. **UTILIZATION OF SMALL BUSINESS CONCERNS**
(this clause is applicable to contracts that offer subcontracting opportunities - see the Small Business Act and regulations implementing same)

The Contractor agrees to be bound by and comply with the clause entitled "Utilization of Small Business Concerns (JAN 2011)," which is contained in Section 52.219-8 of the Federal Acquisition Regulation (section 52.219-8 of title 48 of the Code of Federal Regulations).

5. **SMALL BUSINESS SUBCONTRACTING PLAN**
(this clause is applicable to contracts in excess of $650,000 [$1,500,000 in the case of contracts for construction of a public facility], except for contracts awarded to small business concerns as defined by section 3 of the Small Business Act, 15 U.S.C. § 632, and the applicable regulations in Part 121 of Title 13 of the Code of Federal Regulations)

The Contractor shall adopt a subcontracting plan that complies with the requirements set forth in the Small Business Act and in the clause entitled "Small Business Subcontracting Plan (JAN 2011)," which clause is contained in Section 52.219-9 of the Federal Acquisition Regulation (section 52.219-9 of title 48 of the Code of Federal Regulations). (Subparagraphs (d) and (e) of such clause are the primary portions of the clause that concern the contents and effective implementation of subcontracting plans.) The Contractor shall insert the clause entitled "Utilization of Small Business Concerns" (see above) in subcontracts that offer further subcontracting opportunities and shall comply with the requirements for record keeping and reporting to the Federal Government.

6. **<u>EQUAL OPPORTUNITY</u>**
   (this clause is applicable to all contracts unless exempted by the rules, regulations or orders of the Secretary of Labor issued under Executive Order 11246, as amended)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Equal Opportunity (MAR 2007)," which is contained in Section 52.222-26 of the Federal Acquisition Regulation (section 52.222-26 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in nonexempt subcontracts.

The Contractor acknowledges that Customer is required to take such action against the Contractor with respect to the contract as may be directed by the Federal Government as a means of enforcing the terms and conditions of the Equal Opportunity clause, including the imposition of sanctions for noncompliance, and the Contractor agrees that any such action by Customer shall not result in any liability of Customer to the Contractor.

The Contractor further agrees to be bound by and comply with the applicable regulations contained in Chapter 60 of Title 41 of the Code of Federal Regulations which implement Executive Order 11246, Section 503 of the Rehabilitation Act of 1973, as amended, and Vietnam Era Veterans' Readjustment Assistance Act of 1974, as amended and set forth the Contractor's obligations, including its affirmative action obligations. **Specifically, the Contractor and its subcontractors shall abide by the requirements of Sections 60-1.4(a), 60-300.5(a) and 60-741-5(a) of Title 41 of the Code of Federal Regulations. These regulations prohibit discrimination against qualified individuals based on their status as protected veterans or individuals with disabilities, and prohibit discrimination against all individuals based on their race, color, religion, sex or national origin. Moreover, these regulations require that covered prime contractors and subcontractors take affirmative action to employ and advance in employment individuals without regard to race, color, religion, sex, national origin, protected veteran status or disability.**

7. **<u>EQUAL OPPORTUNITY FOR VETERANS</u>**
   (this clause is applicable to all contracts of or exceeding $100,000 unless exempted by the rules, regulations or orders of the Secretary of Labor)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Equal Opportunity for Veterans (SEP 2010)," which is contained in Section 52.222-35 of the Federal Acquisition Regulation (section 52.222-35 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in nonexempt subcontracts.

8. **AFFIRMATIVE ACTION FOR WORKERS WITH DISABILITIES**
(this clause is applicable to all contracts of or exceeding $15,000 unless exempted by the rules, regulations or orders of the Secretary of Labor)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Affirmative Action for Workers with Disabilities (OCT 2010)," which is contained in Section 52.222-36 of the Federal Acquisition Regulation (section 52.222-36 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in nonexempt subcontracts.

The Contractor agrees to comply with the rules, regulations and relevant orders of the Secretary of Labor issued under the Rehabilitation Act of 1973 (29 U.S.C. 793, as amended).

9. **EMPLOYMENT REPORTS ON VETERANS**
(this clause is applicable to all contracts of or exceeding $100,000 unless exempted by the rules, regulations or orders of the Secretary of Labor)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Employment Reports on Veterans (SEP 2010)," which is contained in Section 52.222-37 of the Federal Acquisition Regulation (section 52.222-37 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in nonexempt subcontracts and to comply with the reporting to the Federal Government (including the submission of VETS-100A Report).

10. **COMBATING TRAFFICKING IN PERSONS**
(this clause is applicable to all contracts)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Combating Trafficking in Persons (FEB 2009)," which is contained in Section 52.222-50 of the Federal Acquisition Regulation (section 52.222-50 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in all subcontracts.

11. **PERSONAL IDENTITY VERIFICATION OF CONTRACTOR PERSONNEL**
(this clause is applicable to all contracts requiring access to a Federal facility)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Personal Identity Verification of Contractor Personnel (JAN 2011)," which is contained in Section 52.204-9 of the Federal Acquisition Regulation (section 52.204-9 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in all subcontracts.

12. **PROMPT PAYMENT FOR CONSTRUCTION CONTRACTS**
(this clause is applicable to contracts which incorporate or refer to Section 52.232-27 of the Federal Acquisition Regulation)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Prompt Payment for Construction Contracts (OCT 2008)," which is contained in Section 52.232-27 of the Federal Acquisition Regulation (section 52.232-27 of title 48 of the Code of Federal Regulations), including the requirements set forth in subsection (c) "Subcontract clause requirements".

13. **ENERGY EFFICIENCY IN ENERGY-CONSUMING PRODUCTS**
(this clause is applicable to all contracts for goods and services to be used or performed at a Federal facility)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Energy Efficiency in Energy-Consuming Products (DEC 2007)," which is contained in Section 52.223-15 of the Federal Acquisition Regulation (section 52.223-15 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in all subcontracts.

14. **PROHIBITION OF SEGREGATED FACILITIES**
(this clause is applicable to all contracts to which the Equal Opportunity clause, described above, is applicable)

The Contractor agrees to be bound by and comply with the clause entitled "Prohibition of Segregated Facilities (FEB 1999)," which is contained in Section 52.222-21 of the Federal Acquisition Regulations (section 52.222-21 of title 48 of the Code of Federal Regulations), including the requirement to include such clause in non-exempt subcontracts.

15. **NOTICE OF EMPLOYEE RIGHTS**
(this clause is applicable to all contracts exceeding $10,000 unless exempted by the rules, regulations or orders of the Secretary of Labor issued under Executive Order 13496, as amended)

The Contractor agrees to be bound by and to comply with the terms and conditions of the clause entitled "Notification of Employee Rights under the National Labor Relations Act (DEC

2010)," which is contained in Section 52.222-40 of the Federal Acquisition Regulation (section 52.222-40 of title 48 of the Code of Federal Regulations), including the requirement to include such terms and conditions in all subcontracts.

The Contractor agrees to comply with the requirements of Chapter 471 of Title 29 of the Code of Federal Regulations, which implement Executive Order 13496, including the posting of the notice required by Section 471.2 of Title 29 of the Code of Federal Regulations.

The Contractor acknowledges that Customer is required to take such action against the Contractor with respect to the contract as may be directed by the Federal Government as a means of enforcing the terms and conditions of the Notice of Employee Rights clause, including the imposition of sanctions for noncompliance, and the Contractor agrees that any such action by Customer shall not result in any liability of Customer to the Contractor.

16. **CERTIFICATION AND DISCLOSURE REGARDING PAYMENTS TO INFLUENCE CERTAIN FEDERAL TRANSACTIONS**
(this certification is applicable to contracts exceeding $150,000)

The Contractor hereby makes the certifications contained in Section 52.203-11 of the Federal Acquisition Regulation (section 52.203-11 of title 48 of the Code of Federal Regulations) relating to the nonuse and nonpayment of Federal appropriated funds to influence or attempt to influence the Federal transactions specified in such certification and to the completion and submission of any documentation that may be required by such certification, and agrees to include such certifications in subcontracts under this contract.

17. **SUBCONTRACTS FOR COMMERCIAL ITEMS**
(this clause is applicable to all contracts)

The Contractor agrees to be bound by and to comply with the clause entitled "Subcontracts For Commercial Items (DEC 2010)," which is contained in Section 52.244-6 of the Federal Acquisition Regulations (section 52.244-6 of the Code of Federal Regulations) and which also requires the Contractor to be bound by and to comply with: **(i)** the clause entitled " Contractor Code of Business Ethics and Conduct (APR 2010)" contained in Section 52.203-13 of the Federal Acquisition Regulations (section 52.203-13 of title 48 of the Code of Federal Regulations); **(ii)** the clause entitled "Whistleblower Protections Under the American Recovery and Reinvestment Act of 2009 (JUN 2010)" contained in Section 52.203-15 of the Federal Acquisition Regulations (section 52.203-15 of title 48 of the Code of Federal Regulations); **(iii)** the clause entitled "Utilization of Small Business Concerns (DEC 2010)" contained in Section 52.219-8 of the Federal Acquisition Regulations (section 52.219-8 of title 48 of the Code of Federal Regulations); **(iv)** the clause entitled "Equal Opportunity (MAR 2007)" contained in Section 52.222-26 of the Federal Acquisition Regulations (section 52.222-26 of title 48 of the

Code of Federal Regulations); **(v)** the clause entitled “Equal Opportunity for Veterans (SEP 2010)” contained in Section 52.222-35 of the Federal Acquisition Regulations (section 52.222-35 of title 48 of the Code of Federal Regulations); **(vi)** the clause entitled “Affirmative Action for Workers with Disabilities (OCT 2010)” contained in Section 52.222-36 of the Federal Acquisition Regulations (section 52.222-36 of title 48 of the Code of Federal Regulations); **(vii)** the clause entitled “Notification of Employee Rights under the National Labor Relations Act (DEC 2010)” contained in Section 52.222-40 of the Federal Acquisition Regulations (section 52.222-40 of title 48 of the Code of Federal Regulations); **(viii)** the clause entitled “Combatting Trafficking in Persons (FEB 2009)” contained in Section 52.222-50 of the Federal Acquisition Regulations (section 52.222-50 of title 48 of the Code of Federal Regulations); and **(ix)** the clause entitled “Preference for Privately Owned U.S.-Flag Commercial Vessels (FEB 2006)” Contained in Section 52.247-64 of the Federal Acquisition Regulations (section 52.247-64 of title 48 of the Code of Federal Regulations. In addition, Contractor shall be bound by and comply with Section 13, above, Prohibition of Segregated Facilities, which is applicable to all contracts to which the Equal Opportunity clause (see subsection (iv) above) is applicable. If the contract between Con Edison and the Contractor is for the supply of Commercial Items (as such term is defined in Section 2.101 of the Federal Acquisition Regulation (section 2.101 of title 48 of the Code of Federal Regulations)), then, to the extent that the clause entitled “Subcontracts For Commercial Items (DEC 2010)” lawfully requires only that the Contractor be bound by and comply with the text of such clause and the other clauses referenced therein rather than all of the provisions referenced in this Appendix A, the Contractor shall, with respect to the provisions in this Appendix A, only be required to (a) be bound by and comply with the clause entitled “Subcontracts For Commercial Items (DEC 2010)” and the clauses referenced in such clause and in this Section 17, (b) include the terms and conditions of “Subcontracts for Commercial Items (DEC 2010)” in all subcontracts, and (c) to make and comply with the provisions of the certifications that are referenced in the clause entitled “Subcontracts For Commercial Items (DEC 2010)” or otherwise required by this Section 17. Additionally, with respect to **clause (iv)**, above, the Contractor agrees to be bound by and comply with the applicable regulations contained in Chapter 60 of Title 41 of the Code of Federal Regulations which implement Executive Order 11246, Section 503 of the Rehabilitation Act of 1973, as amended, and Vietnam Era Veterans' Readjustment Assistance Act of 1974, as amended and set forth the Contractor’s obligations, including its affirmative action obligations. **Specifically, the Contractor and its subcontractors shall abide by the requirements of Sections 60-1.4(a), 60-300.5(a) and 60-741-5(a) of Title 41 of the Code of Federal Regulations. These regulations prohibit discrimination against qualified individuals based on their status as protected veterans or individuals with disabilities, and prohibit discrimination against all individuals based on their race, color, religion, sex or national origin. Moreover, these regulations require that covered prime contractors and subcontractors take affirmative action to employ and advance in employment individuals without regard to race, color, religion, sex, national origin, protected veteran status or disability.**

EXHIBIT B

STATEMENT OF WORK

[Insert initial Statement of Work]

STATEMENT OF WORK FOR SERVICES

New York REV Demonstration Project
Customer Engagement and Marketplace Platform

with

Simple Energy, Inc.

for

Orange and Rockland Utilities, Inc.

October 20, 2015

Table of Contents

1. Introduction

The purpose of this Statement of Work ("SOW") is to detail the tasks and responsibilities of Simple Energy, Inc. ("Contractor") and Orange and Rockland Utilities, Inc. ("Company") in relation to the Master Services Agreement ("Agreement") for the initial setup and ongoing operations of the Simple Energy Customer Engagement Platform and Marketplace ("Program" or "CEMP"). Contractor and Company are sometimes individually referred to as a "Party" and collectively as the "Parties."

2. Background

As part of the New York Reforming the Energy Vision initiative ("REV"), Company is partnering with Contractor and its network of third party product and service partners to provide a CEMP to (1) increase customer awareness and education of energy consumption issues; (2) motivate customers to participate in Company programs; (3) increase distribution and adoption of distributed energy resources ("DERs"); and (4) develop new revenue streams for Company and its partners.

Notwithstanding anything to the contrary contained in this SOW, the development, implementation, and on-going operations of the CEMP must comply with all applicable laws, rules, regulations and any orders, guidance or feedback from the New York State Public Service Commission (the "PSC") and/or its Staff ("PSC Staff") that relate to REV, and Contractor and Company shall cooperate to make any changes that may be needed to the terms of this SOW, the CEMP and any agreements between the Contractor and Company related to the CEMP to ensure that such compliance is attained. In the event that, after diligently pursuing implementation of such changes with Company, Contractor or Company determines that such changes are not commercially reasonable or practical, then Contractor or Company may terminate this SOW upon at least thirty (30) days prior written notice to other Party pursuant to Section 5.3(c) of the Agreement.

Company and Contractor, through the Program, will seek to increase energy conservation and the purchase of DERs across the entire Company New York service territory. Subject to all applicable marketing laws and consumer protection rights and the terms of the Company's Privacy Policy, marketing for the Marketplace will target all customers, while the other specific customer engagements described in this SOW will be targeted to a Treatment Group as defined in Glossary of Terms Section of this SOW. The customer engagement and direct consumer marketing for targeted energy saving behavioral change will be provided for approximately 80,000 Company customers designated by Company ("Designated Customers") by utilizing industry leading behavioral science, gaming mechanics, rewards and ecommerce marketing. Of the 80,000 customers, approximately 40,000 customers will be digitally engaged through opt-out email communications, in which they are automatically enrolled in the program and approximately 40,000 customers will receive opt-out mailed paper reports as their primary form of pushed messaging. Contractor and Company will ensure that all marketing and messaging described in this SOW will be performed in compliance with Company's then-current Privacy Policy and all applicable state and federal marketing and consumer protection laws as well as any PSC requirements regarding customer privacy protections. Company shall provide contractor thirty (30) days notice prior to any changes in the Privacy Policy. Should changes in the Privacy Policy materially impact the ability to delivery the program, Company and Contractor shall partner on agreeable solutions and update the SOW as necessary.

The Program will be delivered via multiple digital channels – web, email, and mailed paper Energy Insight Reports – to engage and motivate Designated Customers in the places where they already spend their time. Contractor will design, configure, host and operate the Simple Energy platform, including:

- Energy Insight Reports delivered via postal mail and email
- Energy Insights
- Energy Challenges
- Rewards
- Marketplace

The Program will initially launch as a standalone Marketplace with integrated marketing encouraging all O&R customers to purchase energy saving products and services. In a subsequent phase, the Customer Engagement Platform will launch to support the marketplace by providing Designated Customers with Energy Insights Reports, Gamification and Rewards with the goal of driving behavioral energy efficiency.

Contractor shall set up and operate the CEMP on behalf of the Company within the timeframe described in Section 3.7 below.

3. Scope of Work

Contractor shall configure and operate its Software as a Service ("SaaS") online platform on behalf of the Company in accordance with the Responsibilities detailed below in Section 4. Contractor will configure the SaaS platform for the Company's Program and will add any features that are needed to achieve the specifications described in this SOW.

3.1 Contractor Activities All specified numbers of customers in this SOW are approximate and are subject to variation based on a number of factors not within the control of Contractor or the Company, including, without limitation, the number of Company customers who agree to receive the messaging or reports or other communications being described.

Notwithstanding anything to the contrary contained in this SOW or any related agreements between the Company and Contractor, Contractor and Company shall establish a process to review the content of communications, including emails and digital and paper reports, that will be sent to Company customers in connection with the Program. Contractor shall develop the content of such communications but Company's written approval shall be required before any such communications are distributed to Company customers.

Services	Number of Designated Customers	Service Functionality Description
Customer Onboarding Email Series	A series of up to five emails for up to 80,000 Designated Customers	Initial email communications to Designated Customers that outlines the Program, invites active participation, provides opt-out ability and advises regarding EM&V (as defined in Glossary) consents. The onboard series will initially be sent to 40,000 digital Designated Customers with email addresses. When non-digital Designated Customers activate on the web platform, they will also receive the Customer Onboarding Email Series.
Digital Energy Insight Reports	1-5 per month for up to 80,000 Designated Customers during the demonstration project	Personalized energy reports for each Designated Customer to be emailed on a weekly basis (unless otherwise agreed to by both parties in writing) to Designated Customers. The messaging is designed to leverage social comparison, social proof, and targeted insights to motivate action and further engagement. It will include normative energy use comparisons, energy savings tips that include seasonal energy reduction suggestions, options to view energy usage, tips, and challenges on the Web Portal and the ability to purchase DERs and earn rewards for energy savings performance. At the start of the Program, 40,000 Designated Customers will receive Digital Energy Report emails. Paper reporting encourages users to sign up for web accounts. As users activate web accounts, the number of Digital Energy Insight Report recipients will increase.
Paper Energy Insight Reports	6 per year for up to 40,000 Designated	Personalized, mailed, paper energy insights reports will be sent to each Designated Customer in the paper-based group. The reports contain

	Customers during the demonstration project	messaging designed to leverage social comparison, social proof, and targeted insights to motivate action and further engagement. Paper reports encourage users to move to receive Digital Energy Insight Reports and to visit the digital channel the CEMP to improve engagement. As customers move to the digital channel and begin to receive digital reports, they will no longer receive paper reports.
Simple Energy Engagement Platform Web Portal	Access for 80,000 Designated Customers	All Designated Customers have the ability to create a user profile and access their energy usage information and rewards activity via the Simple Energy Engagement Platform Web Portal. There are a number of features available to Designated Customers who establish an online account via the Web Portal, including: • Normative energy comparison, in which customers usage is compared to other, similar customers • Energy usage and home profiling presentment • Gamification and rewards • Energy savings tips, recommendations, and integration to Marketplace for DER product and service purchases
Rewards (part of Web Portal)	Access for up to 80,000 Designated Customers	Contractor's points system uses an algorithm-based normalization of energy consumption based on user-generated data, public data, and utility data. Customers earn points redeemable for rewards from national merchants or the Marketplace. The list of national merchants is limited to those provided by Contractor's rewards provider.
Marketplace	Access for all Company Customers	All Company customers, whether a Designated Customer in the customer engagement program or not, will be eligible to transact in the Marketplace. The online Marketplace will provide for the sale of energy-related products and services to Company's customers on behalf of the Company in accordance with this SOW. The online Marketplace will operate as a direct purchase model (i.e., customers may purchase products and services directly through the Marketplace) that will (i) present products approved by Company

		through a cohesive customer experience and (ii) facilitate the integration of instant rebates on qualified products. Some products or services – particularly those that require professional installation, may also be purchased via referral to a third party site or service provider. All services (and the corresponding service providers) offered through the Marketplace must be pre-approved in writing by the Company.
Customer Service Interface and Training	Selected Company Customer Service Representatives	At mutually scheduled times, Contractor will train Company staff for customer service support including: • Minimum of two (4 hours each) Live Training sessions to assist Company staff in understanding the Program, managing the customer experience and support first-call-resolution and short average call times. Any additional Live Training will be mutually agreed upon by the Company and Contractor. • User guides and video documentation about the CEMP • Customer service interface that allows staff to "see what customer sees" and respond to Designated Customers questions • A dedicated email address for support requests sent by Designated Customers • Customer support processes to assess level of response needed • Providing Contractor employee resources to respond to phone and email support requests. Contractor will act as second-tier support and assist Designated Customers with issues that cannot be resolved using the above listed tools. See section 3.6 for more detail on first and second tier support.
Marketplace Customer Support	N/A	Contractor will provide first tier customer support for all Marketplace customer requests as defined in Section 3.6 of this SOW.
Program Reporting	Company Stakeholders	Contractor will provide the following reporting to the Company as part of the Program: • No less than monthly Periodic Marketing Reports highlighting key email metrics, such as emails delivered, open rates and

		click-through rates.
		• Quarterly Executive Status and regulatory reports, including:
		  o Executive summary
		  o Program performance versus agreed to KPIs, including steps being taken to address any discrepancies between actual and target KPIs
		  o Key action items, issues and risks to the Program
		  o Customer related feedback
		• A final report, including
		  o Program Overview and Highlights
		  o Executive Summary
		  o Program Description including participant breakdown and platform users
		  o Results and Conclusions regarding program performance vs. KPIs
		• Company and Contractor will mutually agree upon the format of all reports described in this SOW and the type of information to be provided in such reports.

Marketing	Marketplace Customers during the demonstration project	Email Communication Blasts 1-5 times per month to all Marketplace customers, with quantity and timing of emails to be mutually agreed upon by Contractor and Company. The messaging is designed to motivate action and engagement with the Marketplace. Messaging will provide clear Call to Action providing the ability to purchase Products and/or Services on the web portal. Additional marketing channels (public relations, online advertisements, Company marketing channels, etc) may be utilized based on deemed effectiveness and will be determined as part of the ongoing marketing plans mutually agreed upon by Contractor and Company.

3.2 Technical Specification/Requirements

Contractor shall configure and operate its SaaS Platform so as to provide an online Customer Engagement Platform focused on behavioral energy savings and this Agreement or Supplemental Agreements. Consultant shall only be responsible for the accuracy and reliability of fully completed work delivered in accordance with early termination.

D. CITY MAY COMPLETE WORK

Upon termination City may complete the services in any way that the City, in its discretion, determines is appropriate, including but not limited to using City personnel, or contracting with outside parties. Completion of such work shall not waive any of City's rights and remedies.

IN WITNESS WHEREOF, the City and the Consultant have caused this contract to be executed under seal themselves or by their respective duly authorized agents or officers.

CITY OF DURHAM

_____________________________ By:________________________________

Preaudit Certificate, if appropriate: _______________________

[FIRM NAME IN CAPITAL LETTERS]

ATTEST:

______________________________ ___________________________(SEAL)

Name Signature

Title: ______________________________________

By:___________________

Secretary

(Affix Corporate Seal)

State of ________________________

ACKNOWLEDGMENT BY CORPORATION

County of ______________________

I, a notary public in and for the aforesaid county and state, certify that ____________________________ personally appeared before me this day and stated that he or she is (*strike through the inapplicable*) chairperson / president/ chief executive officer / vice-president / assistant vice-president / treasurer / chief financial officer of _______________________________________, a corporation, and that by authority duly given and as the act of the corporation, he or she signed, under seal, the foregoing contract or agreement with the City of Durham. This the _____ day of _______________________, 20_____.

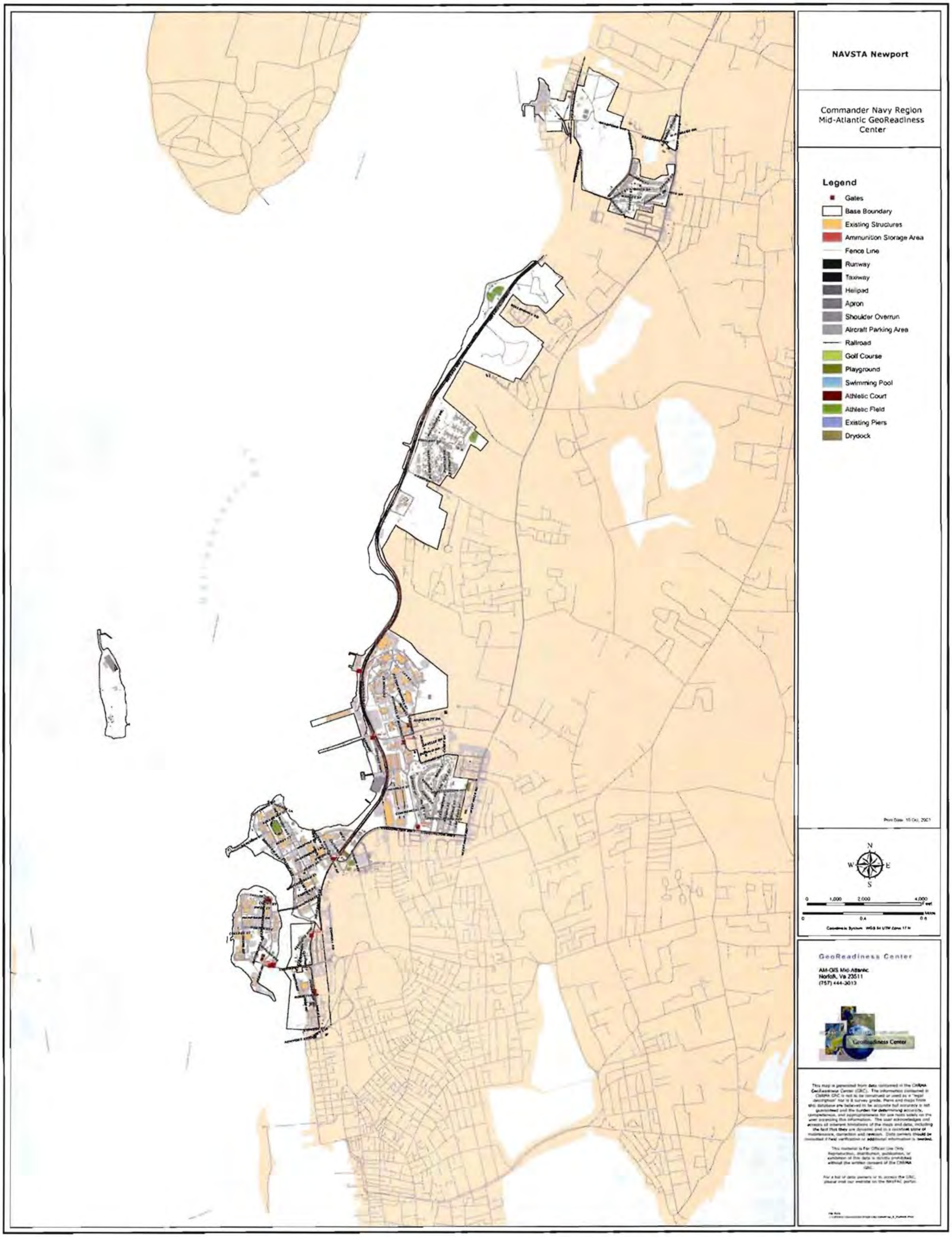
My Commission Expires: ______________________________

_______________________ Notary Public

List of Approved Key Personnel for N66604-26-R-0163

The following Key Personnel are approved for this task order. Any changes to the below list require approval in accordance with clause C-237-H002 “SUBSTITUTION OF KEY PERSONNEL”.

Name	Labor Category	Award or Modification
Insert the name in the following format: Last Name, First Name	Insert the labor category	Insert either “Award” if approved at award or the modification number that the key person was



NAVSTA Newport
Commander Navy Region Mid-Atlantic GeoReadiness Center
Legend
Gates
Base Boundary
Existing Structures
Ammunition Storage Area
Fence Line
Runway
Taxiway
Helipad
Apron
Shoulder Overrun
Aircraft Parking Area
Railroad
Golf Course
Playground
Swimming Pool
Athletic Court
Athletic Field
Existing Piers
Drydock
N
W
E
S
0
1,000
2,000
4,000
Feet
0
0.4
0.8
GeoReadiness Center
AM-GIS Mid-Atlantic
Norfolk, Va 23511
(757) 444-3013
GeoReadiness Center

SAMPLE Notice of contract award: This is a sample to be used for information only; your terms and conditions may be different.

NOTICE OF CONTRACT AWARD

(Name of Agency)

CONTRACT NO. PAxx

Group No. / Commodity: (39300) / (Public Safety Officers Uniforms)

Contractor: (company's name), (company's address)

Contact: (contractor contact person's name) Telephone: (x) Fax No. (x)

Contract Period: (begin date) to (end date)

I.F.B. / Proposal No.: (x)

Bid Opening Date: (date)

Contract Approval Date: (x)

Direct inquiries regarding this contract to: (agency contact name, title, agency name, agency address, telephone number, fax number, email address)

FOR TAX FREE TRANSACTIONS UNDER THE INTERNAL REVENUE CODE, THE NEW YORK STATE REGISTRATION NUMBER IS 14740026K.

Price: Price is net Freight on Board (FOB) destination, including tailgate delivery.

Request for Change: Any request by the agency or contractor regarding changes in any part of the contract must be made in writing prior to effectuation. Such requests are subject to approval of the State Comptroller.

Contract Payments: Payments cannot be processed by (agency) until the contract items have been delivered in satisfactory condition. Payment will be based on an invoice used in the supplier's normal course of business, however, such invoice must contain sufficient data including, but not limited to, Contract No., Purchase Order No., description of material, quantity, unit and price per unit, as well as NYS Vendor ID.

Delivery: (Delivery terms spelled out)

Purchase Orders: Purchase orders are effective and binding upon the contractor when placed in the mail.

Quantities: The quantities listed are estimated only and based upon the filed requirements. However, vendor payments will be based on quantities actually ordered and received during the contract period.

Minimum Order: No minimum order.

Contract Period: It is the intention of the State to enter into a contract for a term of (initial contract term), as indicated on the IFBs. Agency reserves the right to extend this contract under the same terms and conditions for an additional period of (allowed in IFB but not to exceed a total contract term of 5 years).

Price Adjustment: The contractor may request a price change for any extension period(s) if allowed and limited to the price adjustment clause(s) per the IFB. Documentation of the increases must accompany the request. Price reductions may be offered at any time during the term of the contract including renewal periods.

Appendix A: The contractor agrees to comply with Appendix A, New York State Standard Contract Clauses.

Terms and Conditions: The contractor agrees to comply with all the specifications of (agency) Bid Number (x) dated (specific date).

Notes to Agency as applicable:

- Purchase orders should reference this contract number (PAxx)
- When placing orders against this contract, please forward a copy of the P.O. to: (Agency main office, address, phone number, fax number)
- Agencies are urged to process vouchers expeditiously.

(see item list on next page)

stimulate a certain kind of behavior. At the same time, such relatively new alternatives are often still perceived as being more expensive. Overall, this is true and likely to be somewhere between 1 and 6%, but evidence suggests it need not necessarily be so for individual contracts. For instance, when a government decides to purchase second-hand office furniture, this can reduce both costs and environmental impact.

Although this development is taking place in the public procurement field, this does not mean that all public organizations have transformed to value-driven and sustainable procurement. For such transitions to continue and expand, careful attention must be paid to various conditions that may drive or enable organizations to increasingly opt for a more socially and environmentally sustainable solution. Such conditions include government regulations and subsidy schemes, organization and purchasing strategy, human resource management, functional and individual processes, procedures, and incentive schemes. Hence, the transition to value-driven and sustainable procurement requires change to occur at both the macro and micro level regarding, for example, the resources, competences, and capabilities of the staff, the overall public organization, and the relationship between buyers and suppliers.

Interestingly, it seems that the law is moving toward making sustainable and social procurement the 'new standard' (Janssen, 2020), thereby removing—in time—the choice to procure sustainable and social outcomes. It means that contracting authorities will be faced with mandatory requirements that have to be included in a public procurement procedure in addition to the existing rules on public procurement, as described in Chapter 3. An example of this type of legislation is the Clean Vehicles Directive (2019/1161), which among other things contains minimum targets for the EU Member States to create cleaner fleets of vehicles owned by contracting authorities. Other legislative initiatives are—at least—expected based on the EU Green Deal for the field of construction, food, and batteries. This has the potential to be a substantial driver of the development toward value-driven procurement.

The traditional approach of maintaining a clear line of demarcation between buyer and supplier responsibilities, or in other words, the idea that 'you pay, the supplier takes care of everything, and you will get the required product' is no longer sufficient in value-driven procurement. Joint competences are more often required—especially for large or specific contracts—as the complexity and pluralism of new procurement values highlight the interdependency between buyer and supplier and, as a result, a need to cooperate more often to come to the best solution. More integrated and performance-based contract models require dialogue about the division of responsibility between a buyer and a supplier, as well as an understanding of how public and private entities vary in how they perceive accountability and value delivery. Hence, to develop for certain projects from efficiency and cost-based thinking toward value-driven and sustainable oriented would require more social dialogue and collaboration rather than formality and competition.

From Administrative Procurement Decisions Toward Digitalized and Smart Decision-Making

The uptake of digital technology is expected to fundamentally alter the field of public procurement on an individual, organizational, and societal level. Digitalization is already occurring in the procurement process itself. Think, for example, of electronic invoicing systems, automated contract renewal, automated data input (robotization), smart data gathering, automated answers to questions of suppliers, the use of AI in the assessment of offers, and perhaps even automated tendering for simple purchases. This opens opportunities to change the traditionally rather operational and administrative function of procurement within public organizations into fully digitalized and smart processes that support and optimize not only the purchase itself but also the management of the contract throughout its life cycle. This creates more time for public officers to invest in more tactical and strategic activities and increases the stability of buyer-supplier relations. It also enables innovation on topics such as performance-based service contracts and other long-term commitments that could reduce transaction costs.

Digitalization of public procurement is also expected to affect the power balance in buyer-supplier relationships. While information asymmetry has always been present in buyer-supplier relationships, access to data and, for example, data gathering via smart devices (e.g., smart maintenance of bridges and locks) can increase the information asymmetry (e.g., the supplier gathering the data but not necessarily sharing that data with the buyer). The implementation of digital technologies therefore warrants consideration of data ownership, how to organize data sharing, and how to deal with data-driven intellectual property and security aspects. In the context of performance- or outcome-based contracting, digital technologies are also expected to affect the measurability of performance outcomes, providing more accurate real-time data on all kinds of parameters that together determine the outcome. This impacts the importance and quality of contract management.

Finally, there is an increasing drive from citizens, journalists, researchers, public officers, and companies to make public procurement more transparent. Examples of data fields that are often still closed but could be made more accessible are data fields about names and contract values of all tenderers, identities of (sub-)subcontractors, contract performance, contract amendments, and so on. Open public procurement data will improve transparency about public spending, increase competition, reduce collusion and corruption, and create more possibilities for research and sharing best practices. On the other hand, and especially when not organized efficiently, it will also create administrative costs and raise confidentially issues in some cases (Schotanus, 2022). Interestingly, more developed countries in public procurement tend to be more reluctant in making procurement data open, on the one hand because of a lack of awareness and on the other because of a lack of confidence in how to address the issue of commercially sensitive information (Open Contracting Partnership, 2018). Countries that share most public procurement data are in Eastern Europe (Georgia, Slovakia, and Ukraine) and in Latin America (Chile and Colombia). In those countries, the general rule seems to be that contracting information is public information by default, although exemptions on grounds of commercial sensitivity, privacy, and security apply. Some countries even developed a hybrid electronic open-source government e-procurement system because of a partnership between business, government, and civil society. Not only do such systems affect transparency, but they also help in fighting corruption, increasing competition, reducing tender costs, and improving price-quality ratios.

From Front-End Practical Purchasing Instrument to Strategic Life Cycle Engagement

Traditionally, public procurement used to be an operational function, supported by practical tooling to fulfill a specific need of the organization. This need for a supply, service, or public work primarily initiates the procurement process. However, as public procurement is becoming a more and more strategic asset to fulfill societal development goals, the whole procurement process also needs to become more focused on these goals. By leading by example, the public sector can set the tone for more socially responsible ways of organizing, by taking matters such as business decency, due diligence, honest competition, and sustainability into account. In this, public procurement has an important role to fulfill as a role model for other organizations.

This starts with the make-or-buy decision. Within public procurement, it should become routine to not simply replace what is already there when the life cycle ends, or directly procure something new when a need arises, but also to look for alternative ways to fulfill the need (Andhov et al., 2021). For example, by:

- Buying as a service.
- Sharing instead of buying.
- Stimulating extending the lifetime of a product.
- Considering reuse as an alternative.
- Changing demand to more sustainable options.
- Stimulating supply to offer more (new) sustainable options.

It should also become routine to think what would characterize suitable potential suppliers and sub-contractors before the start of a tender. Below the EU public procurement thresholds, public buyers usually only invite the suppliers who satisfy certain criteria related to social aspects, security aspects, sustainability aspects, and so on. Above the thresholds, buyers can use (customized) exclusion grounds, requirements, and supplier selection models for filtering suppliers.

By redefining procurement requirements, public procurement can actively contribute to a more circular, inclusive, and sustainable economy (McCrudden, 2004). This also requires more life cycle-focused procurement tenders. Think, for example, of requiring suppliers to contribute to broader societal goals (e.g., circularity and employment) in addition to fulfilling a specific need (e.g., a place to work). A life cycle perspective would also alter the role of contract management. If we really want to create public value, it no longer suffices to check if what has been ordered is delivered, one also needs to monitor if public value is achieved and the policy goals have been met (Keller et al., 2021). This would require a more proactive collaborative attitude of both buyer and supplier to jointly realize the desired value but also sometimes stricter measures to comply with a contract.

From Procuring Formal Dyadic Supply Chain Relations to Facilitating Relational Ecosystems

Tendering is often turned into a rather formalized way of coordinating supply and demand. Current procurement systems are often focused on single dyadic relationships: a particular buyer that agrees with a specific supplier on the delivery of a certain work, supply, or service under specific conditions. If an ecosystem perspective was to be adopted, this would certainly lead to a recalibration of the EU procurement law. Ecosystems refer to the collaborative arrangements through which interconnected and interdependent public and private network actors combine their individual offerings in a coherent solution focused on value creation (Adner, 2017). Other than interorganizational networks, which focus on existing ties between stakeholders involved in dyads, ecosystems draw attention to the notions of an overarching purpose for the total set of relationships for stakeholders to be included and of technical interdependence and complementarities between stakeholders. This generally requires a set of stakeholders with varying degrees of multilateral, non-generic complementarities that are coordinated by sets of roles with similar rules (Jacobides et al., 2018). Since ecosystems are network based rather than dyadic, they often avoid the need to enter into tailor-made contractual agreements with each individual partner. Ecosystem thinking assumes that each system consists of a unique set of stakeholders and interactions and therefore evolves in its own way (Valkokari et al., 2017). As the system is only partially designed and enforced, existing internal forces are responsible for keeping it in balance. Also, ownership and use are not necessarily linked, which can bring about major change for many sectors, such as construction, energy provision and drinking water supplies (Vosman et al., 2023).

Collaboration in networks and systems can replace traditional procurement and tendering because performance should not only be determined by a buying organization, but also by the end users in close cooperation with the government. Adaptive service-based contracts and collaboration agreements can therefore better match the dynamic of society's need for values. In a world where formal procurement guidelines and contracts are still dominant, relying on social processes to ensure that resources flow through actor-to-actor connections and considering agreements and rules as just informalities is another matter. For instance, complex work will be based more on open, explorative, and evolving connections like in an innovation partnership or Small Business Innovation Research (SBIR). For more common purchases, buyers will regularly use market consultations with a small number of focused questions, will increase their knowledge about market possibilities (to bring supply in connection with demand), close more contracts using joint procurement, and work more closely with suppliers after the contract has been closed. This can mean an extension from a procurement system with a predominantly legal basis to a more social and less formal system that brings supply and demand together.

The role of the public buyer would also change structurally when moving toward collaboration in ecosystems. For example, while dyadic relations nowadays increasingly start with a pre-announced market consultation focused on potential main suppliers, a procurement professional in an ecosystem should proactively connect to numerous parties and act as an explorer and accelerator of collaborative processes. As a driving force in the creation of an ecosystem, public buyers should be increasingly aware of the active players in the market, their distinctiveness, and the values that they could deliver to the system. This requires knowledge of business models to understand the motives of the parties and to be able to arrive at balanced commitments.

8.3 Implications for Public Procurement Practice in a New Era

The trend toward more value-driven, smart, life cycle-oriented, and relational procurement processes will have implications for the public procurement practices of the future. We identify the following four main implications or challenges for public procurement that need to be addressed to bring public procurement into a new era:

- More flexible and adaptive ways of governing the relationship between buyer and supplier.
- Integration of public procurement values in all parts of the public organization.
- A need for public procurers with different capabilities and competences.
- Rebalancing the multiple perspectives on public procurement.

Flexible and Adaptive Ways of Governing Relations Between Buyer and Supplier

New developments, such as digitalization but also the transition toward a more circular economy or value-driven procurement, affect the power balance and relationship between buyers and suppliers. While the relationship between buyers and suppliers has been predominantly governed via contracts, awareness of the importance of the relational aspects is increasing. Given that—in most cases—the combination of formal contract management and social contract management is more effective than only managing a legal contract with formal incentives and sanctions, we expect to see an increase in relational governance mechanisms. Examples of such mechanisms are the introduction and use of social agreements (including goals and expectations of each party and agreements on how to communicate and provide feedback), appointing mediators where necessary and putting the relationship status on the agenda of regular project meetings.

Because relational governance is based on the idea that interorganizational exchanges are embedded in social relationships with interdependencies between partners, it is much better equipped to deal with uncertainty, innovation, conflict resolution, and complexity (Cao & Lumineau, 2015). Relational governance mechanisms such as information sharing, open communication, and joint problem solving allow stakeholders to adopt a more flexible and forward-looking attitude. Trust is often an important element of relational governance. We therefore envisage a need for more relational and flexible ways of governing the relationship between buyer and supplier, to deal with the four public procurement developments described in this chapter. Similarly, we expect that suppliers that do show opportunistic behavior or that are not open to this new way of working will be more often exposed (by using open data) and less often invited or selected in tender procedures.

Integration of Public Procurement Values in the Organization

The development of value-driven and sustainable procurement, life cycle engagement, but also smart decision-making and relational ecosystems implies that public procurement should become integrated in all parts of the organization and its network. This raises the managerial question of how to organize procurement. The answer to this question depends heavily on the purchasing maturity of the organization and its organizational coherence. For many public organizations, a step toward coordinated purchasing will already make a difference. For larger and more mature and coherent public organizations, procurement should move toward a more local-led or center-led type of organization, where decentralized expert teams from different sections work together. This would generally better ensure the necessary collaboration and integration to achieve public values together, such as a reduction of CO_2-emissions or increasing the degree of digitalization, which fit with higher development stages of public procurement.

New values do not necessarily fit into the existing organizational governance mechanisms. In this context, building on existing value management tools appears to be more effective than creating totally new systems. This implies that public organizations should put increased focus on embedding new value systems into their procurement processes and reduce focus on changing existing value systems. In order 'to lean in without falling over' (Kuitert, 2021), innovation through integration could be counterbalanced by sustaining and defending the separation of existing value systems. An example of this is the use of an integral program at an organizational level to implement specific values, like circularity or social responsibility, while simultaneously translating these values into programmatic frames at the level of the department or project. On a national level, inspiring societal missions could be started that focus and bundle all (innovation) activities related to public procurement. Hence, the focal point for buyers should be to lean into intrinsic motivation of the procurement professional and act as a responsible procurement organization.

Finally, the role of the government as an internal buyer needs to change. Public procurement should no longer be viewed as a stand-alone process for the delivery of specific works, supplies, or services, but rather as a strategic asset in linking government policy, strategic goals of the organization, and developments in society. This requires true alignment with the developments in markets, other countries, and networks. This also implies that public procurement should be an active stakeholder in driving societal change and achieving public value. For instance, by giving social enterprises better opportunities to really participate in public tenders, rather than being socially desirable solutions to lobbying conflicts or other more political aims. Public procurement needs to have an active and more directive role in steering procurement toward specific values and behaviors, rather than executing policies that have been created by others and reacting on institutional demands from the past.

Changing Capabilities and Competences of Procurement Professionals

Developments like digitalization, relational contracting, and sustainable procurement all require organizational routines to change. Organizational routines are rules that allow people to select elements of a repertoire in order to construct sequences of behavior that make sense to others in the organization (Feldman & Pentland, 2003). Introducing change in an organization questions existing routines (and thus behavior) and leads to new practices (new behavior) which, if it becomes embedded in the organization, forms a new organizational routine. For example, circular procurement requires a vastly different approach than the old linear way of procuring; collaborative value-driven procurement requires public procurers to become network managers rather than administrators; and smart procurement requires competence in new ways of information sharing, while the old capabilities and competences, such as operational capabilities and fundamental legal knowledge, are becoming less central. Although more and more procurers and contract managers have begun to recognize their role in contributing to these changes, previous procurement policies and capacity shortages have made several public officers develop risk-averse behavior. Sometimes public procurers and contract managers regard legislation as complicated and, therefore, choose to play it safe to avoid situations where suppliers might appeal a contract award. Even though procurement has been acknowledged as a professional field, it has not necessarily always been classified as a profession. In those instances where it is classified as a profession, it tends to be fragmented across the organization or overlook the impact it can have both internally and externally. The developments in public procurement however require that public procurers and contract managers either change their behavior or the hiring and staff that already have the required capabilities and competences.

Rebalancing the Multiple Perspectives on Public Procurement

Throughout this book we have seen how in the past the financial and legal perspectives have been dominant in public procurement, with a lowest price focus and contractual governance as drivers for the design and implementation of the public procurement system and the political cycle as societal driver of the policy agenda to which procurement needs to contribute. However, the development toward strategic, smart, value-driven, and sustainable procurement implies that the societal importance of procurement practices is becoming more prominent. This requires a rebalancing of the disciplinary perspectives.

For example, the legal perspective should rebalance its priorities and move from a 'cannot' mentality to a 'can do' mentality where not necessarily the legally safest option is advised, but the safest one that creates the most public value. Price considerations will always remain important in purchasing decisions (taxpayers' money should not be squandered), however, the focus should move toward getting the most value for your money, rather than spending the least. This entails a shift from a focus on purchase price to a life cycle perspective on quality and capturing the most public value from a transaction.

Societal challenges have a lot to do with how politicians make decisions and how to act upon them. In most European countries, politicians represent the democratic values and expectations of the people. The political system has been driving the policy agenda as well as financial frameworks and resulting budgets. To be able to move toward a more innovative and circular way of procuring with stable supplier relations, a forward-looking and less political way of governing seems necessary. One that is less focused on the short term and election cycles, but more visionary and programmatic with long-term partnerships, and an emphasis on human well-being and value co-creation rather than economic prosperity.

8.4 Conclusion: Become a Change Agent

The developments in the field of public procurement and subsequent implications for public procurement practices and organizations suggest major changes in our procurement systems. Truly bringing public procurement forward into a new era requires change agents to drive these changes. A change agent can be anybody, an individual or a team, from inside or outside the organization, that takes responsibility for initiating, sponsoring, directing, managing, or implementing a change (Caldwell, 2003). This responsibility is something that does not have to be imposed on the change agent (it not necessarily part of the job) but is often a task that change agents take up, out of a desire to do something and make change happen (Grandia, 2015). If one thinks of change agents, the image of a top or senior manager might also spring to mind. However, studies show that anybody at any level can become a change agent, from interns to director generals. It merely requires a person to act (Caldwell, 2003; Kendra & Taplin, 2004).

There are many actions that change agents can carry out to effect change, such as envisioning, initiating, sponsoring, adapting, or carrying forward change. One could also build support, provide advice, expertise, or process skills, or contribute by interviewing, directing, managing, speaking, or presenting. Furthermore, listening, reflecting, writing, cooperating, refining, giving feedback, and/or training or educating are important activities that change agents perform. The mentioned actions remain rather vague, as there is no universal change agent model that shows what kind of actions are required in which situations and under which circumstances (Caldwell, 2003).

Becoming a successful change agent, however, does not necessarily require enormous actions or plans, even the smallest initiatives can ignite a change or offer a breakthrough. Sometimes merely asking questions about why things go a certain way can, in the end, lead to major changes. Long-term gradual accumulation of many small changes has been found to successfully lead to large changes in the end.

We therefore challenge you, the reader, to become an agent of change and help drive public procurement forward into the new era. As an agent of change you could, for example, present new ideas to create more public value with procurement (initiate), talk enthusiastically about the possibilities and necessity of the change (motivate), share knowledge about developments or new alternatives (educate), advise on how to incorporate new knowledge (advise), or arrange the necessary tools to make it happen (solve problems). All these types of actions can help make other stakeholders in the procurement process more willing and able to make changes and use the potential of public procurement for achieving societal impact. Let's be this change together.

8.5 Summary

This chapter first shortly summarized the topics discussed in the book, followed by a discussion of the four main trends and developments in the field of public procurement that can be identified. First, a move from efficiency and cost-based thinking toward value-driven and sustainable oriented procurement processes could be observed. Second, a move from a focus on administrative operational thinking toward digitalized and smart decision-making in procurement processes seems visible. Third, procurement appears to move from a front-end practical purchasing instrumental perspective to procurement as a strategic life cycle engagement process. And fourth, procurement moves from supporting the formal dyadic supply chain relations to public procurement to facilitating relational networks and ecosystems. This chapter then explained that the trend toward more value-driven, smart, life cycle-oriented, and relational ecosystem procurement processes has implications for the public procurement practices of the future. The following four main implications or challenges for public procurement that need to be addressed to bring public procurement forward were identified: (1) more flexible and adaptive ways of governing the relationship between buyer and supplier, (2) integration of public procurement values in all parts of the public organization, (3) a need for public procurers with different capabilities and competences, and (4) rebalancing the multiple perspectives on public procurement. The final chapter of this book finished with an explanation of why it is important that change agents step up and help public procurement move into a new era and challenge the reader to become such a change agent themselves.

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Continental Energy Corporation Statement 3

(A Development Stage Company)

Consolidated Statement of Loss

U.S. Funds

	Cumulative From 1 August 1993 Through 31 July 2002 *(Note 2l)*	For the Years Ended 31 July **2002**	2001	2000
Revenue				
Oil and gas revenue	$ 49,237	**$ -**	$ -	$ -
Other income	50,891	**-**	4,476	18,359
	100,128	**-**	4,476	18,359
Expenses				
Loss on disposal or write down of resource property *(Note 5, Schedule 1)*	9,621,364	**6,986,726**	215,335	-
General and administrative *(Schedule 2)*	1,958,246	**408,807**	351,225	383,418
Management fees and medical insurance	786,360	**351,048**	170,440	129,152
Financing costs, interest on loans and foreign exchange gain and loss	509,696	**186,404**	73,345	110,238
Investor relations contract	153,396	**24,507**	20,437	24,091
Amortization	23,806	**7,371**	5,277	2,866
Consulting	172,983	**3,634**	12,399	67,106
Bank charges	19,659	**859**	2,557	959
Loan settlement fee	44,372	**-**	-	44,372
Gain on debt settlement	(5,583)	**-**	-	-
Loss on disposal or write-down of capital assets	28,486	**-**	43,067	-
Bad debt	70,354	**-**	4,748	-
	13,383,139	**7,969,356**	898,830	762,202
Loss for the Period	$ 13,283,011	**$ 7,969,356**	$ 894,354	$ 743,843
Weighted Average Number of Shares Outstanding		**25,722,526**	24,119,393	15,201,237
Loss per Share - basic and fully-diluted		**$ 0.31**	$ 0.04	$ 0.05

- See Accompanying Notes -

Continental Energy Corporation Statement 4

(A Development Stage Company)

Consolidated Statement of Cash Flows

U.S. Funds

	Cumulative From 1 August 1993 Through 31 July 2002 *(Note 2l)*	For the Years Ended 31 July **2002**	2001	2000
Operating Activities				
Loss for the year	$ (13,283,011)	**$ (7,969,356)**	$ (894,354)	$ (743,843)
Adjustments to reconcile to net cash				
Loan settlement fee	44,373	**-**	-	44,372
Amortization	23,806	**7,371**	5,277	2,866
Loss on write-down or disposal of capital assets	28,486	**-**	43,067	-
Loss on disposal, write-down or impairment of resource properties	9,621,364	**6,986,726**	215,335	-
Allowance for doubtful debts - related parties	51	**-**	-	-
Changes in operating current assets and liabilities				
Promissory notes receivable	-	**-**	360,880	(360,880)
Prepaid expenses	2,872	**2,872**	4,491	1,219
Accounts receivable	(35,642)	**3,463**	(6,405)	4,811
Accounts payable	744,733	**(675,748)**	731,636	(237,623)
Net cash provided by (used in) operating activities	(2,852,968)	**(1,644,672)**	459,927	(1,289,078)
Financing Activities				
Share capital for cash, *net of issuance costs*	6,741,712	**505,084**	-	3,198,822
Cash received in advance of share issuance	150,000	**150,000**	-	-
Prepaid share issuance costs	(43,500)	**(43,500)**	-	-
Private loans	-	**-**	-	(548,163)
Promissory notes payable	50,000	**-**	-	(774,656)
Net cash provided by financing activities	6,898,212	**611,584**	-	1,876,003
Investing Activities				
Advance for proposed acquisition	-	**1,589,472**	(164,362)	(1,425,110)
Purchase of equipment	(36,756)	**-**	(12,010)	(9,886)
Purchase of intangible asset	(43,067)	**-**	-	(43,067)
Marketable securities	9,840	**-**	-	-
Resource property cost recovery	1,623,650	**32,000**	270,715	1,403,202
Resource property costs, *net*	(5,366,440)	**(361,369)**	(624,144)	(416,634)
Prepaid resource property costs	(29,000)	**(29,000)**	-	-
Government grant	21,436	**-**	-	-
Net cash provided by (used in) investing activities	(3,820,337)	**1,231,103**	(529,801)	(491,495)
Net Increase (Decrease) in Cash and Cash Equivalents	224,907	**198,015**	(69,874)	95,430
Cash and cash equivalents - Beginning of period	507	**27,399**	97,273	1,843
Cash and Cash Equivalents - End of Period	$ 225,414	**$ 225,414**	$ 27,399	$ 97,273
Supplemental Schedule of Non-Cash Transactions				
Cancellation of pooled shares	$ (32,626)	**$ -**	$ -	$ -
Issuance of shares for:				
Resource property acquisition	$ 579,071	**$ 96,200**	$ -	$ -
Intangible asset acquisition	$ 43,067	**$ -**	$ -	$ 43,067
Debt settlement	$ 284,929	**$ -**	$ -	$ 233,742
Loan settlement	$ 44,372	**$ -**	$ -	$ 44,372
Finder's fee	$ 10,832	**$ -**	$ -	$ 10,832

- See Accompanying Notes -

Continental Energy Corporation Schedule 1

(A Development Stage Company)

Consolidated Schedule of Resource Property Costs

U.S. Funds

	Cumulative 1 August 1993 Through 31 July 2002	For the Years Ended 31 July **2002**	2001	2000	1 August 1993 to 31 July 1999 *(Note 14)*
Indonesia					
Bengara					
Production sharing contract acquisition	$ 1,315,953	**$ -**	$ -	$ -	$ 1,315,953
Geological and geophysical interpretation and evaluation	793,996	**163,457**	168,248	141,634	320,657
Seismic acquisition and data processing	91,465	**6,000**	-	-	85,465
Field exploration, surveys, data acquisition	17,393	**-**	-	-	17,393
Prepaid resource property costs	75,000	**-**	-	-	75,000
Costs for the period	2,293,807	**169,457**	168,248	141,634	1,814,468
Impairment	(790,553)	**(575,218)**	(215,335)	-	-
Costs recovery	(1,262,253)	**(32,000)**	(217,997)	(1,012,256)	-
Net property costs for the period	241,001	**(437,761)**	(265,084)	(870,622)	1,814,468
Yapen					
Production sharing contract acquisition	623,784	**-**	-	200,000	423,784
Geological and geophysical interpretation and evaluation	177,949	**97,441**	72,518	-	7,990
Seismic acquisition and data processing	383,378	**-**	383,378	-	-
Prepaid resource property costs	75,000	**-**	-	75,000	-
Costs for the period	1,260,111	**97,441**	455,896	275,000	431,774
Impairment	(111,732)	**(111,732)**	-	-	-
Costs recovery	(443,664)	**-**	(52,718)	(390,946)	-
Net property costs for the period	704,715	**(14,291)**	403,178	(115,946)	431,774
GATB					
Technical assistance contract acquisition	6,205,302	**6,205,302**	-	-	-
Geological and geophysical interpretation and evaluation	94,471	**94,471**	-	-	-
Costs for the period	6,299,773	**6,299,773**	-	-	-
Impairment	(6,299,772)	**(6,299,772)**	-	-	-
	1	**1**	-	-	-
Other properties					
Costs for the period	2,734,114	**-**	-	-	2,734,114
Cost written off on abandonment	(2,740,640)	**(4)**	-	-	(2,740,636)
	(6,526)	**(4)**	-	-	(6,522)
Total Costs for the Period	12,587,805	**6,566,671**	624,144	416,634	4,980,356
Total costs recovered for the period	(1,705,917)	**(32,000)**	(270,715)	(1,403,202)	-
Total write-off of costs on abandonment or impairment for the period					
- Oil and gas and mineral properties	(9,942,697)	**(6,986,726)**	(215,335)	-	(2,740,636)
Proceeds on disposal of oil and gas properties for the period	(335,469)	**-**	-	-	(335,469)
Gain on disposal of oil and gas properties for the period	330,573	**-**	-	-	330,573
Balance - Beginning of period	11,422	**1,397,772**	1,259,678	2,246,246	11,422
Balance - End of Period	$ 945,717	**$ 945,717**	$ 1,397,772	$ 1,259,678	$ 2,246,246

- See Accompanying Notes -

Reasonableness and Fairness:

Every action of the Government must be informed with reason and should be free from arbitrariness. This is the very essence of the rule of law and its bare minimal requirement. (Roman Dayaram Shetty v. International Airport Authority of India (1979) 3 SCC)

Public Interest:

When an award of contract may not be causing any loss to the public exchequer manifestly, it may still be liable to quash for being unfair, unreasonable, discriminatory and violative of the guarantee contained in Article 14. (Shri Sachindanand Pandey v. State of West Bengal AIR 1987 SC 1109).

Equality, Non-Arbitrariness:

The principle of reasonableness, which legally as well as philosophically, is an essential element of equality or non-arbitrariness pervades Article 14 like a brooding omni-presence and the procedure contemplated by Article 21 must answer the test of reasonableness in order to be in conformity with Article 14. (Menaka Gandhi v. Union of India AIR 1978 SC 597).

Contractual Liability:

Article 299 (2) provides immunity to the President or Governor or any Officer entered into agreement with third party in case of breach of contract by the Government. At the same time it did not provide immunity to the Government. The Government liability is practically the same as that of a private person, subject of course, to any contract to the contrary. (State of Bihar v. Abdul Majid AIR 1954 SC 245)

Government Contract and Section 70 of Indian Contract Act, 1872:

Even though the contract is not in the prescribed format, in case the contract is executed by the third party and the government derives any benefit, the Government is liable to compensate the third party under quasi contracts. The quasi contracts are called implied contracts and these contracts are based on the principles of justice, equity and good conscience and no person should become rich at the cost of others.

Mandatory nature of Article 299:

It is a settled law that Article 299 is a mandatory provision, and not directory one. It was confirmed in number of judgments of the Supreme Court, more specifically specified in State of West of Bengal v. B.K. Mondal & Sons (AIR 1962 SC 779). As already discussed, non-compliance with the provision would result in invalidation of the contract entered into by the government. It is not possible to seek waiver of compliance. (Prakash Baldev Krishan v. State of Punjab AIR 1988 SC 2149).

Principle of Unjust enrichment:

Despite the invalidation of a government contract, it is possible for a third party to enforce the contract against the government in the court of law on some other legal principles. Some of the principles are, ratification of any irregularity and promissory estoppel. Supreme Court in Chatturbhuj (AIR 1954 SC 236) observed that there was nothing to prevent ratification of the contract by the government, especially if such ratification were for its benefit. A right under estoppel would usually be triggered if the government makes some statements to a third party who then acts on reliance upon such statement so as to alter its position.

Restitution:

In case of non compliance of Articles 298 and 299, the third party can rely on Section Sections 64 or 65 or 70 of the Indian Contract Act, 1872 when the government enjoyed the benefits of the contract. The Supreme Court applied section 70 of the Contract Act in BK Mondal case, (AIR 1962 SC 779) when the following conditions are satisfied:

i) That a contracting party must lawfully do something or deliver something;

ii) That, in doing so, the party must not be acting gratuitously; and

iii) That the beneficiary of the act or beneficiary enjoy the benefit thereof.

Law Relating to Government Tenders:

Government tenders in India are regulated by contract law, procurement rules and guidelines. The core principles include transparency, fairness and value for money with a focus on preventing corruption.

What is tender:

A tender is an offer in writing to the contractors/suppliers to execute some specified work or supply some material within a fixed time. It is also called Request for Proposal contains the

[Identify the supplies and services to be acquired, the estimated value (rounded to the nearest $1M), and the appropriation and funding amounts planned for the acquisition. Major items and associated quantities should be identified. Summarize long lists of items. Other items may be identified generically by logical groupings, such as "ancillary repair services" or "intermediate-level test equipment." Option quantities should be separately identified. Briefly address the period of performance or completion date.]

[Funding amounts should represent the estimated dollar value of the procurement and should be summed and identified by fiscal year range and appropriation. If several different types or years of funds are planned, consider providing the information in a chart format, such as the one below. Round all estimates to the nearest $1M.]

<u>Estimated Dollar Value</u>

	FYXX – XY Total
RDT&E	
OPN	
O&MN	
Total	

4. <u>Statutory Authority Permitting Other Than Full and Open Competition</u>.

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[Use one of the following:

1 0 U.S.C. 2304(c)(1), Only one responsible source and no other supplies or services will satisfy agency requirements.

10 U.S.C. 2304(c)(2), Unusual and compelling urgency.

10 U.S.C. 2304(c)(3), Industrial mobilization; engineering, developmental, or research capability; or expert services.

10 U.S.C. 2304(c)(5), Authorized or required by statute.

10 U.S.C. 2304(c)(6), National Security.]

5. <u>Rationale Justifying Use of Cited Statutory Authority</u>.

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[Explain <u>in detail</u> why the statutory authority permitting other than full and open competition applies to the proposed procurement. Provide your strongest argument. Avoid duplicative information. Be short, precise, and to the point.]

[If the explanation is based (whether fully or partially) on the lack of a performance specification, technical data package, specifications, engineering descriptions, a statement of work, or a purchase description suitable for full and open competition, explain why such a document has not been developed or is not available.]

[When the basis of the sole source justification is due to being a follow-on acquisition as implemented in FAR 6.302-1(a)(2)(ii)(supplies) or (iii)(services), provide:

A statement as to whether or not the original contract award was competed. An estimate of the cost to the Government that would be duplicated and an explanation of how the estimate was derived. The estimated cost can be based on the initial set-up costs, past actuals or estimates. The intent is not a detailed analysis but a trackable basis for drawing the conclusion that the estimated cost is so high that it will not be recouped through competition. An estimate of the length of the delay and an explanation of how the estimate was derived and why a delay of this length is unacceptable. The intent is to indicate if the time frame is prohibitive and would not support the program requirements. As indicated in FAR 6.301(c), this rationale does not apply when there is a lack of advance planning by the requiring activity.]

[When the use of other than full and open competition is necessitated by an unusual or compelling urgency under the authority of 10 U.S.C. 2304(c)(2) as implemented in FAR 6.302-2, provide the estimated cost, data or other rationale to demonstrate the extent and nature of the harm the Government will suffer, or would have suffered, if the contracting activity could not limit competition.]

[Address any other facts supporting the use of other than full and open competition.]

6. <u>Description of Efforts Made to Solicit Offers from as Many Offerors as Practicable</u>.

[At a minimum, address:

Any other sources that have expressed interest. If these included any respondent that is not identified in the J&A as a potential source, explain on what basis the activity concluded that the respondent would be unable to satisfy the requirements of the proposed contract. If a synopsis of the proposed procurement was not published in SAM, explain why not, including the applicable FAR 5.202 regulatory exception. If the synopsis did not state that the proposed contract action is for supplies or services for which the Government intends to solicit and negotiate with only one source under the authority of FAR 6.302, explain why not. If market research was conducted in accordance with FAR Part 10, describe how the market research was conducted and what the results were. If no market research was conducted, explain why not. **If using the authority at FAR 6.302-1, identify when the request for information or a sources sought notice was posted and include the results of the responses.]**